OPERATING BUSINESS PLAN

Emergency Home Repair & Carpentry

24/7 emergency response for homeowners, integrated with a full carpentry & remodeling division.

> Emergency work is real revenue — much of it billed to homeowners insurance — but its strategic job is **customer acquisition**. Every emergency call puts us inside a damaged house at the exact moment the owner has to decide who rebuilds it. We convert roughly one in four of the calls involving real damage into a full carpentry or remodeling contract at 4–20× the ticket size.
>
> Competitors sell remodeling and hope the phone rings.
> **We buy the relationship at the moment of crisis and own the rebuild.**

Company	[COMPANY NAME] LLC
Prepared	August 2026
Principals	Operator A (Branden) · Operator B (Partner) · Capital Partner (Investor)
Capital sought	$250,000

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Overview

Working name: `[COMPANY NAME]` — see Section 2 for naming guidance **Prepared:** August 2026 **Principals:** Operator A (Branden), Operator B (Partner), Capital Partner (Investor)

The one-paragraph version

We run a 24/7 emergency home repair service that gets to a homeowner's door within 90 minutes of a burst pipe, storm hit, break-in, roof leak, or failed structural element. Emergency work is real revenue — much of it billed to homeowners insurance — but its strategic job is **customer acquisition**. Every emergency call puts us inside a damaged house at the exact moment the owner has to decide who rebuilds it. We convert roughly one in four of the calls that involve real damage into a full carpentry or remodeling contract at 4–20x the ticket size. Competitors sell remodeling and hope the phone rings. We buy the relationship at the moment of crisis and own the rebuild.

That's the whole business. Everything in these documents serves that funnel.

The four numbers that decide whether this works

Everything else is commentary. Track these weekly from day one.

Metric	Target	Why it decides the business
Call answer rate	≥ 98% live, < 3 rings	Emergency callers dial the next number in 90 seconds. A missed call is a lost customer *and* a lost rebuild.
Emergency → rebuild conversion	≥ 25% of *qualified* calls	This is the entire thesis. Below 15%, we're just an expensive handyman service.
Gross margin	≥ 42% blended	Below 35% no amount of revenue saves us. Contractors die at high revenue and low margin.
Crew utilization (billable hrs ÷ paid hrs)	≥ 70%	Every point below 70% comes straight out of net profit. This is where most shops bleed out.

Assumptions this plan is built on

Called out plainly so you can correct any that are wrong before you take this to the investor:

1. **State-agnostic.** Licensing, contractor registration, and bond thresholds vary by state. Section 8 gives a fill-in-the-blank compliance checklist plus exactly where to look up your state's rules. **Do this before the first job over $500.**
2. **The investor funds, the operators run.** Capital comes from the investor; day-to-day control sits with the two operating members. Section 2 shows how to paper this so it stays true.
3. **"He has the workers" is not yet a legal arrangement.** Section 2.5 is the most important thing in this plan to resolve before you file anything. Read it first if you read nothing else tonight.
4. **Service area:** one metro, ~30-minute drive radius from the shop. Emergency response is a geography business — you cannot promise 90 minutes across two counties.
5. **Year 1 base case is ~$780K revenue at ~3% net.** That is a *realistic* first-year contractor outcome, not a pitch number. Upside is in Year 2 when overhead stops scaling.

Fastest path to revenue if you only have this week

1. File the LLC + get the EIN (same day, online). → §2.2
2. Bind General Liability + Commercial Auto + Workers' Comp. **You cannot work without these.** → §8.2
3. Set up the 24/7 answering service and one phone number. → §4.1
4. Stock one emergency response vehicle from the load list. → §4.3
5. Print the Work Authorization form. **No signature, no work.** → forms/
6. Claim Google Business Profile and turn on emergency-intent search ads. → §7.2

Everything else can follow. Those six things are the difference between a business and an idea.

1. Executive Summary

1.1 The business

`[COMPANY NAME]` is a licensed and insured residential repair contractor operating two integrated divisions from a single overhead base:

Division A — Emergency Home Repair (24/7). Rapid-response service for homeowners in crisis: burst and frozen pipes, storm and wind damage, fallen trees, roof leaks, failed decks and stairs, sagging floors, break-in and vandalism board-ups, vehicle-into-structure impacts, water intrusion, and emergency securing of doors, windows, and openings. We guarantee a live human answer 24/7/365 and a technician on site within 90 minutes inside our service radius.

Division B — Carpentry, Decks & Remodeling. Full-scope wood-centered construction: deck design and build, deck rebuild and restoration, kitchen and bathroom remodels, basement finishing, framing and structural repair, siding and trim, custom built-ins, door and window replacement, and full insurance-restoration rebuilds.

1.2 Why the two divisions belong in one company

This is the part the investor needs to understand, because it is the only thing that makes this different from the 40 other contractors in the market.

Emergency response is the cheapest customer acquisition channel in residential construction, and almost nobody runs it deliberately.

Consider what happens on a burst-pipe call. A homeowner has water in their ceiling at 11pm. They are not shopping. They are not collecting three bids. They will hire the first competent, insured company that picks up the phone, and they will remember that company for years. We arrive, stop the damage, document everything, and get paid for the mitigation — frequently by their insurance carrier.

Then the real opportunity: that house now needs drywall, flooring, trim, cabinets, and paint. The homeowner has an insurance claim funding most of it. They have a contractor standing in their living room who already has their trust, already knows the damage, and already has photos and measurements. **The rebuild contract is ours to lose.**

```
Emergency call            Mitigation invoice          Rebuild contract
($0 acquisition cost)  →  $600 – $2,500          →   $8,000 – $60,000
     ~365/yr                 ~100% capture          ~25% of qualified calls
```

"Qualified" means the ~35% of emergency calls involving damage that actually requires reconstruction. A jammed door is a legitimate emergency ticket with no rebuild behind it. Full funnel math in §6.2.

A $340 marketing spend to win an emergency call that yields an $850 mitigation ticket is break-even marketing. The same $340 producing a 25% shot at a $19,000 rebuild is a **14x return**. That asymmetry is the business.

The reverse also holds: the remodeling division keeps crews billable during the quiet weeks between weather events, which is what kills pure emergency-service companies. The two divisions hedge each other's demand curves.

1.3 Market

Residential emergency repair demand is non-discretionary and largely recession-resistant — a burst pipe gets fixed in a downturn. Demand is driven by housing stock age, weather volatility, and insurance claim frequency, none of which correlate with consumer confidence. Remodeling is discretionary and cyclical. Running both smooths the curve.

The competitive landscape splits into three groups, and there is a gap in the middle:

Competitor type	Strength	Weakness we exploit
National restoration franchises (water/fire mitigation)	24/7 capability, insurer relationships	Expensive, corporate, slow to schedule the rebuild, subcontract the carpentry to someone else
Local remodelers / deck builders	Good craftsmanship, competitive price	8am–5pm, no emergency capability, booked 6 weeks out, will not answer the phone at 11pm
Handyman services	Cheap, fast	Often uninsured, unlicensed, cannot do structural or permitted work, cannot handle insurance claims

We are the only one that answers at 11pm *and* can frame, permit, and finish the rebuild with our own crews. That's the position.

1.4 Revenue model

Line	Basis	Year 1 contribution
Emergency dispatch & mitigation	Dispatch fee + premium hourly + materials	~$310K (40%)
Carpentry, decks, remodels	Fixed-price contracts, deposit + draws	~$470K (60%)
(Year 2+) Maintenance agreements	Recurring annual subscription	Strategic, not yet material

1.5 The ask

$250,000 in startup capital, deployed as:

Use	Amount
Working capital (payroll + materials float, 12 weeks)	$95,000
Vehicles + upfit (2 response units)	$37,000
Emergency response equipment & inventory	$26,000
Tools & jobsite equipment	$22,000
Launch marketing & branding	$28,000
Technology, software, phones, website	$9,500
Insurance deposits & bonds	$6,000
Formation, legal, licensing, certifications	$3,500
Contingency (10%)	$22,700
Total	**$249,700**

Working capital is the single most important line and the one first-time contractors underfund. You pay crews weekly and buy materials up front; homeowners pay on draws and insurance carriers pay in 30–60 days. Companies with full order books die in that gap. Do not let this line get cut to buy a nicer truck.

1.6 Year 1 base case

	Amount	% of revenue
Revenue	$780,000	100%
Cost of goods sold (labor, materials, subs)	$452,400	58%
Gross profit	**$327,600**	**42%**
Operating overhead	$302,600	39%
Net operating income	**$25,000**	**3.2%**

Thin, and deliberately so — this is what an honest first year looks like when you are building crews, buying trucks, and paying to make the phone ring. The return is in Year 2, when revenue roughly doubles against overhead that grows maybe 35%, pushing net into the 9–12% range. Full model, sensitivities, and break-even in Section 6.

1.7 The three things most likely to kill this

Stated up front, because a plan that only lists strengths is a brochure.

1. **Worker classification.** The investor "has the workers." If those people are treated as 1099 subcontractors when they are functionally employees, the exposure is back payroll taxes, penalties, a workers' comp audit that bills us for every uninsured sub, and personal liability that can pierce the LLC. This must be resolved before the first job. → §2.5
2. **Cash flow, not profitability.** Profitable contractors go bankrupt constantly. The defenses are non-negotiable: deposits before mobilization, draw schedules tied to milestones, change orders signed *before* work, weekly job costing, and lien rights preserved on every job. → §4.6 and §6.5
3. **Answering the phone.** The entire acquisition thesis collapses if calls go to voicemail. This sounds trivial and it is the most common failure. Emergency callers hang up and dial the next number in under 90 seconds. → §4.1

1.8 What "good" looks like at 12 months

- 365+ emergency calls answered, ≥98% live-answered
- ≥25% of qualified calls converted to rebuild or remodel contracts (~32 contracts)
- 42%+ blended gross margin, verified by job costing on every single job
- Two full crews running at ≥70% billable utilization
- 50+ Google reviews at 4.7★ or better
- Zero lost-time safety incidents
- Zero unpaid receivables over 60 days
- A named relationship with at least three insurance adjusters who call *us*

2. Formation & Ownership

2.1 Naming

Pick a name that survives both divisions. A name built only around emergencies caps you at emergencies; a name built only around carpentry undersells the 24/7 differentiator.

Test any candidate against these five:

1. Does it work on a truck, a yard sign, an invoice, and a voicemail greeting?
2. Can someone spell it after hearing it once on the phone at 11pm?
3. Is the `.com` available and is the name clear on your state's business entity search?
4. Does it avoid words your state restricts (many states restrict "Engineering," "Construction Company" without a license, "Insurance," "Bank")?
5. Does it avoid boxing you in geographically if you expand to a second metro?

Structural patterns that work well here:

- `[Name] Restoration & Carpentry LLC` — signals both divisions, insurance-friendly
- `[Name] Home Services LLC` with DBAs `[Name] 24 Emergency` and `[Name] Custom Carpentry`
- `[Name] Builders LLC` — remodeling-forward, use a DBA for the emergency brand

Recommendation: one LLC, one legal name, and **two DBAs** — one emergency-facing, one remodeling-facing. Homeowners in crisis and homeowners planning a kitchen respond to different messaging, but you only want one entity, one insurance policy, one payroll, and one set of books. DBA registration is cheap (typically $10–$100) and reversible.

Reserve the name, the `.com`, and the Google Business Profile the same day. Do not skip the entity-name search on your Secretary of State site before printing anything.

2.2 Entity formation — the actual checklist

Do these in order. Steps 1–4 can genuinely be done in one evening online.

#	Step	Where	Typical cost	Notes
1	Confirm name availability	Secretary of State business search	Free	Also check USPTO TESS for conflicting marks
2	File Articles of Organization	Secretary of State (online)	$50 – $500	Most states approve same-day or 1–3 days online
3	Appoint a registered agent	Self or service	$0 – $150/yr	Use a service if you don't want your home address public
4	Get the EIN	IRS.gov (free, instant)	$0	**Never pay a third party for this.** Takes 10 minutes
5	**Draft the Operating Agreement**	Attorney	$800 – $2,500	See §2.3 — do not use a free template for a 3-party deal
6	Open the business bank account	Any business bank	$0	Requires Articles + EIN + Operating Agreement
7	Open a business credit card	Same bank	$0	Materials float; also builds business credit separate from personal

#	Step	Where	Typical cost	Notes
8	Register for state tax accounts	State Dept. of Revenue	$0 – $50	Sales/use tax, withholding, unemployment insurance
9	Contractor license / registration	State contractor board	Varies widely	**See §8.1**
10	Local business license	City / county	$25 – $400	Required in most municipalities
11	Bind insurance	Broker	See §8.2	**Nothing happens before this**

Tax election note. Default LLC taxation is pass-through. Once the company is consistently producing owner compensation above roughly $70–$80K per working owner, an **S-corp election** (IRS Form 2553) typically saves meaningful self-employment tax by splitting owner pay into reasonable salary plus distributions. It is not worth the payroll complexity in month one. **Revisit at the end of Year 1 with a CPA** — and note the election generally must be filed within 2.5 months of the start of the tax year you want it to apply to, so calendar this rather than discovering it in April.

2.3 Ownership structure

Three parties with genuinely different contributions: one supplies capital, two supply labor and management. Splitting equity evenly three ways is the most common mistake here, because it ignores that capital is a one-time contribution while operating is a daily one.

Recommended structure:

Member	Class	Equity	Role
Operator A (Branden)	Class A (voting)	32.5%	Co-Manager — Operations & Production
Operator B (Partner)	Class A (voting)	32.5%	Co-Manager — Sales, Estimating & Admin
Capital Partner (Investor)	Class B (limited voting)	35%	Capital, strategic advisory, no daily control

With a preferred return layered on top of it:

> Distributions flow in this order: (1) 100% to the Capital Partner until invested capital is fully returned, plus an 8% annual preferred return on unreturned capital; (2) thereafter, pro-rata by ownership percentage.

Why this shape. The investor's real economics come from getting money back *first* and earning a return on it — not from controlling the company. The operators' economics come from owning most of the upside they personally create. This structure gives each party what they actually want and prevents the classic failure where a passive investor holds 51% and starts directing jobs they've never visited.

Operators must also take a market-rate salary for their work, paid as an operating expense *before* profit distributions. Equity is not compensation for showing up. If Operator A works 55 hours a week, that labor is a cost of goods, not an investment. Build it into the P&L (it is — see §6.3) or you will systematically overstate profitability and understate your bid prices.

Vesting. Operator equity should vest over 3–4 years with a 1-year cliff. If one operator walks at month five, the company should not be permanently owned 32.5% by someone who is gone. This protects the *remaining* operator as much as the investor.

Alternative: structure the investment as debt

If the investor would rather have certainty than upside, a promissory note at 9–12% interest with a 12-month interest-only period, secured by company assets, works cleanly. Operators then own 50/50. This is simpler, avoids a three-party operating agreement, and avoids the deadlock problem entirely. **Ask the investor directly which they want** — "return of capital with a preferred return" and "equity partner" are very different deals, and it is far cheaper to learn the difference now than in year three.

2.4 Operating agreement — the clauses that actually matter

Do not use a free online template for a three-party deal with unequal contributions. Pay an attorney $1,500. The clauses that matter most:

- **Capital contributions & the preferred return waterfall** — exact dollar amounts, exact distribution order, in writing.
- **Management authority** — that Class A members manage day-to-day; enumerate the specific "major decisions" requiring the investor's consent (selling the company, taking on debt above a stated threshold, admitting new members, changing the business line, distributions above a threshold). Keep that list *short*. Everything not on it is the operators' call.
- **Deadlock resolution** — with two equal operators, a 50/50 split on a Class A vote is a real possibility. Specify the tiebreak: mediation, then a buy-sell trigger.
- **Buy-sell / exit** — what happens on death, disability, divorce, bankruptcy, or a member simply wanting out. Specify the valuation method *now*, while everyone is friendly. A multiple of trailing-12-month EBITDA is the standard approach.
- **Distributions policy** — including mandatory tax distributions so no member owes tax on phantom income they never received in cash. This one bites pass-through entities constantly.
- **Non-compete / non-solicit** — a departing member should not be able to take the crew and the customer list across the street. Scope it narrowly enough to be enforceable in your state.
- **Roles & time commitment** — write down that operators work full time and the investor does not. It prevents a year-three argument about who did what.

2.5 The worker problem — read this first

This is the highest-risk item in the entire plan, and it is unresolved today.

The investor "has the workers." That sentence describes a relationship, not a legal structure, and there are only three legitimate versions of it. You must pick one explicitly, in writing, before the first job.

Option A — They become W-2 employees of the new LLC ✅ Recommended

The LLC hires them directly. It runs payroll, withholds taxes, carries workers' comp covering them, and directs their work.

- **Pros:** Cleanest. Full control over scheduling, quality, training, and dispatch — which an emergency response business absolutely requires. No misclassification exposure. Insurance is straightforward. Builds a real, sellable company asset.
- **Cons:** Highest cash cost. Payroll burden runs ~25–45% on top of base wages (see §5.3). Requires payroll processing and unemployment insurance registration.
- **Verdict:** Correct for anyone on your on-call rotation or working under your direction daily. You cannot run a 90-minute emergency SLA with people you are not allowed to direct.

Option B — They remain employees of the investor's existing entity, which subcontracts to us

The investor's company invoices the LLC for crew labor as a genuine subcontractor.

- **Requirements, all of them, every time:** a signed subcontractor agreement; a current Certificate of Insurance naming us as additional insured; proof of *their* workers' comp coverage; their own contractor license where required; and genuine independence — they control how the work gets done.
- **The trap:** if we set their hours, supply their tools, direct their methods, and they work only for us, they are our employees regardless of the paperwork. The IRS, your state labor department, and your workers' comp carrier will each reach that conclusion independently.
- **The audit that actually gets you:** at your annual workers' comp audit, the carrier will ask for a COI for every subcontractor you paid. **For every sub without valid comp coverage, the carrier charges you premium as if they were your employees** — often a five-figure surprise bill in a single letter.

Option C — Genuinely independent trade subcontractors 🔧 Use for specialty trades

Licensed electricians, plumbers, HVAC, roofers, drywall crews — each running their own business, bidding jobs, carrying their own insurance and licenses.

- **This is normal and correct** for licensed trades you don't employ.
- Same non-negotiable rules: signed agreement + current COI + license verification **before they set foot on a jobsite.** No exceptions, no "we'll get it Monday."

What to do tonight

1. Ask the investor directly: *"Are these people going on our payroll, or are they staying on yours and subcontracting to us?"* There is no third answer, and the plan's cost structure changes materially depending on which it is.
2. **Default to Option A (W-2)** for core carpenters and anyone on the emergency on-call rotation. The control you need for a 90-minute response SLA is legally incompatible with independent-contractor status.
3. Use Option C for licensed specialty trades.
4. If the investor pushes for Option B for the core crew, get an employment attorney to review it before you file the LLC — and price the risk honestly.

> The financial model in Section 6 assumes **Option A** and carries the full W-2 burden. If you go a different route, the labor lines change and the risk section grows. That is a deliberate, conservative choice.

2.6 Records, books, and the boring stuff that protects the LLC

The liability shield is not automatic — it is earned by behaving like a separate company. Courts pierce LLC veils for exactly these failures:

- **Never commingle funds.** No personal expenses on the business card, ever. If you need money, take a documented distribution or salary.
- **Capitalize adequately.** An LLC with no assets and no insurance running a construction crew is an invitation to personal liability.
- **Document decisions.** Annual member meeting minutes, written consents for major decisions. Fifteen minutes a year.
- **Sign everything in the company's name** — *"Branden [Last], Manager, [Company] LLC"* — never your name alone. Signing personally can create personal obligation.
- **File the annual report.** Every state requires one. Missing it administratively dissolves the LLC, and an administratively dissolved LLC provides no liability protection at all. Calendar it the day you form.
- **Books from day one.** QuickBooks or equivalent, set up with **job costing enabled** before the first invoice. Retrofitting job costing onto six months of sloppy books is miserable and you simply won't do it. See §4.6.

3. Services & Pricing

> **All dollar figures are national midpoints for 2026 and must be calibrated to your market before you publish a rate card.** Method for calibrating is in §3.6 — do that in week one.

3.1 Division A — Emergency Home Repair (24/7)

What we take

Service	Typical trigger	Ticket range
Water intrusion response	Burst/frozen pipe, supply line failure, appliance leak	$600 – $3,500
Emergency board-up	Break-in, vandalism, broken window/door, vehicle impact	$250 – $600 per opening
Roof tarp / emergency dry-in	Wind, hail, fallen limb, missing shingles	$400 – $1,200
Storm & tree impact response	Tree through roof/wall, downed limb damage	$800 – $6,000
Structural shoring & stabilization	Sagging floor, failed beam, deck/stair collapse	$900 – $5,000
Emergency door/lock/entry repair	Failed door, forced entry, lockout damage	$250 – $900
Deck & stair emergency repair	Collapsed rail, rotted stringer, failed ledger	$400 – $2,400
Emergency securing (general)	Anything making a house unsafe or unsecured tonight	$300 – $1,500
Ceiling/drywall collapse response	Water-loaded ceiling, partial collapse	$500 – $2,500

Blended average emergency ticket: ~$850. That number drives the whole revenue model.

What we decline, and why declining fast is a skill

Say no in the first 60 seconds and refer it out. A referral costs you nothing and builds a reciprocal network; a call you take and can't finish costs you a night and a review.

- **Gas leaks, active electrical fire, structural collapse in progress** → 911 / utility first, always. Never dispatch into these.
- **Sewage (Category 3 water)** without proper certification and PPE → refer to a restoration specialist, then bid the rebuild.
- **Asbestos or lead abatement** → licensed abatement contractors only. Full stop.
- **Licensed-trade emergencies** (main panel, gas line, main sewer) → your subcontractor network. **Refer it, then bid the carpentry repair after.** This is a revenue channel, not a loss.

Build the referral list *before* launch, and ask each one to refer carpentry back.

Emergency pricing structure

Component	Standard hours (Mon–Fri 7a–5p)	After hours (nights, Sat)	Premium (Sun, holidays)
Dispatch fee (includes first hour on site)	$175	$275	$375
Additional labor — lead tech	$125/hr	$185/hr	$250/hr

Component	Standard hours (Mon–Fri 7a–5p)	After hours (nights, Sat)	Premium (Sun, holidays)
Additional labor — helper	$75/hr	$110/hr	$150/hr
Materials	Cost + 30%	Cost + 30%	Cost + 35%
Equipment (dehumidifier, air mover, generator)	Daily rate	Daily rate	Daily rate

Rules that keep this profitable:

- **The dispatch fee is charged the moment we roll**, whether or not the job proceeds. It is disclosed on the phone before dispatch, every time, no exceptions. This kills tire-kickers and pays for the truck.
- **Minimum 2-hour billing after hours.** Waking a tech at 2am for a 40-minute job is a net loss unless you bill for it.
- Labor is billed **portal to portal** after hours — drive time is real time.
- **All time is billed in 30-minute increments**, rounded up.
- Equipment placed on site (air movers, dehumidifiers) bills daily until picked up. Track it — unbilled equipment days are pure lost margin, and lost equipment is worse.

Insurance claim work

A large share of emergency work is reimbursed by the homeowner's carrier. Handling this well is a genuine competitive moat, because most small contractors handle it badly.

How the money actually works. The homeowner is your customer and owes you the money. Their insurer reimburses *them*. Your job is to make that reimbursement flow to you smoothly, which means: document like an adjuster will read it, price like an adjuster expects, and get paperwork signed that lets the carrier pay you directly.

- **Document obsessively.** Wide shots, close shots, moisture meter readings, serial numbers on equipment, timestamps, before/during/after. A claim is won or lost on photos. Standard on every emergency call — no discretion. → §4.4
- **Get the Work Authorization signed before touching anything.** This is your contract, and it authorizes emergency mitigation at your rates. → forms/work-authorization.md
- **Get a Direction to Pay signed** where your state permits it, so the carrier can pay you directly rather than routing through the homeowner.
- **Learn Xactimate** (~$150–$300/mo). It is the estimating standard nearly every carrier uses. Submitting a properly formatted Xactimate estimate is the difference between getting paid line-item and arguing for three months. **This is the single highest-ROI software purchase in the business.**
- **Get IICRC WRT certified** (Water Damage Restoration Technician, ~$600, 3 days). It is what adjusters look for before they trust your mitigation invoice.
- **Never advance the deductible or "waive" it.** It is insurance fraud in most states and will end the company.
- **Never sign an AOB** (Assignment of Benefits) without an attorney reviewing it. Several states restrict or prohibit them, and they shift the entire claim risk onto you.

Build adjuster relationships deliberately. Adjusters refer work to contractors who make their files easy. Three good adjuster relationships are worth more than $30K of advertising. Introduce yourself, submit clean documentation, respond same-day, never inflate a scope. → §7.4

3.2 Division B — Carpentry, Decks & Remodeling

Service	Typical scope	Contract range
Deck build — pressure treated	300–500 sq ft, rails, stairs	$45 – $75 / sq ft
Deck build — composite	300–500 sq ft, hidden fasteners	$75 – $130 / sq ft
Deck repair / reboard	Existing frame, new surface & rail	$3,500 – $12,000
Bathroom remodel	Full gut, standard footprint	$12,000 – $35,000
Kitchen remodel	Full gut, semi-custom cabinets	$28,000 – $75,000
Basement finishing	600–1,000 sq ft	$35,000 – $80,000
Framing & structural repair	Beam, joist, sill, header replacement	$2,500 – $18,000
Siding & exterior trim	Partial to full elevation	$6,000 – $30,000
Door & window replacement	Per opening, installed	$600 – $2,400
Custom built-ins & millwork	Shelving, benches, mantels, trim	$1,800 – $9,000
Insurance restoration rebuild	Post-mitigation reconstruction	$8,000 – $60,000

Pricing method: fixed price, built bottom-up

Never bid remodeling hourly — you absorb every inefficiency and the customer has no cost certainty. Build every fixed price the same way, every time:

```
  Direct labor hours × burdened labor rate     ← §5.3
+ Materials at cost                            ← actual quotes, not memory
+ Subcontractor quotes                         ← written, not verbal
+ Equipment & dumpster & permits
─────────────────────────────────────────
= DIRECT JOB COST
+ Overhead recovery      (18–22% of direct cost)
+ Profit                 (12–18% of direct cost)
+ Contingency            (5% standard / 10% on any pre-1980 home)
─────────────────────────────────────────
= CONTRACT PRICE
```

Four rules that protect the margin:

1. **Never bid from memory.** Get written material quotes and written sub quotes on every job over $5,000. Lumber prices move fast enough to erase a margin between bid and build.
2. **Contingency is not padding, and it is not optional.** Older homes hide rot, knob-and-tube, undersized joists, and no header where a header should be. 10% on anything pre-1980.
3. **Markup vs. margin — get this right.** To hit a 40% *margin* you multiply cost by 1.667, not 1.40. Marking cost up 40% yields a 28.6% margin. This single arithmetic error has killed more contractors than bad weather.
4. **Price is not a negotiation over your profit.** If the customer needs a lower number, reduce the *scope*, not the margin. Cutting your profit to win work is how you end the year busy and broke.

Payment terms — non-negotiable

Contract size	Deposit	Draw schedule	Final
Under $2,500	None	—	Due on completion

Contract size	Deposit	Draw schedule	Final
$2,500 – $10,000	30% at signing	40% at material delivery / rough-in	30% at completion
$10,000 – $40,000	25% at signing	25% mobilization · 25% rough-in · 15% at finish start	10% at punch-list sign-off
Over $40,000	20% at signing	Milestone draws, max 3 weeks apart	10% retainage released at sign-off

- **Check your state's deposit cap.** Several states limit residential deposits (a percentage of contract or a flat dollar ceiling). Exceeding it can be a license violation. → §8.1
- **Never let the work get ahead of the money.** If a draw is late, work stops that day — politely, in writing, per the contract. The instinct to "just keep going and sort it out" is how contractors end up financing a stranger's remodel.
- **Change orders are signed and paid before the work happens.** Every time. → forms/change-order.md

3.3 The bridge: converting emergency calls into rebuild contracts

This is the highest-leverage process in the company and it deserves an explicit script, not improvisation at midnight.

The mistake to avoid: hard-selling a remodel while a homeowner is standing in two inches of water. It reads as vulture behavior, it damages trust, and it loses the job.

The sequence that works:

1. **On site, night one — solve the problem and say nothing about the rebuild.** Stop the damage. Be calm and competent. Competence at 2am *is* the sales pitch.
2. **Before leaving — plant one sentence.** *"We've got it stopped and secured. Once the adjuster's been out, we do the repair side too — I can walk you through what the rebuild looks like whenever you're ready. No rush tonight."* That's the entire pitch. Then leave.
3. **Next morning — deliver the documentation package.** Photos, description of what was done, the mitigation invoice, and a short plain-English note on what to expect from the claim process. This single email is worth more than any advertisement you will ever buy. It arrives when the homeowner is overwhelmed and it makes you the competent one.
4. **Day 3–5 — call about the adjuster, not about the job.** *"Did the adjuster get out? How'd it go?"* Offer to meet the adjuster on site. Homeowners find adjuster meetings intimidating; showing up is enormous goodwill and puts you in the room where the scope is decided.
5. **Day 5–10 — present the rebuild estimate.** By now you're not a vendor, you're the person who's been helping. Present a clean scope with a line-item price.
6. **If they don't move — a 30-day and 90-day follow-up.** Insurance rebuilds routinely stall for months. The contractor still on the list when it un-stalls wins.

Track conversion by technician. Some people naturally build this trust and some don't. That's coachable, but only if you measure it. → §4.7

3.4 Maintenance agreements (Year 2 initiative)

Not material in Year 1 — but plan for it, because recurring revenue is the difference between a job and an asset.

`[COMPANY] HomeGuard` — $39/month or $420/year:

- Annual home inspection (deck, roof visual, caulking, seals, water heater, sump)
- Priority emergency dispatch — front of the queue
- Waived dispatch fee on the first emergency call each year

- 10% off all repair labor
- Direct line to a named contact

Why it matters: predictable monthly revenue, a warm list to sell remodels into, and higher business valuation at exit. Sell it to every emergency and remodel customer at job close. A 15% attach rate on 500 lifetime customers is $31K/year of recurring revenue against near-zero incremental cost.

3.5 What we do *not* do

Being clear about this prevents unprofitable detours and protects the brand:

- Commercial and multi-family (different insurance, different licensing, different payment behavior, prevailing wage exposure) — **revisit in Year 3**
- New home construction from the ground up
- Roofing as a standalone trade (we tarp and dry-in; full roof replacement goes to a roofing partner who refers carpentry back)
- Licensed trades in-house: electrical, plumbing, HVAC — **subcontract these**
- Asbestos, lead, or mold *abatement* (we can do lead-safe RRP renovation with certification — that's different from abatement)
- Anything requiring a license we do not hold

3.6 How to calibrate these numbers to your market

Do this in week one. Publishing a rate card built on national averages is how you end up either the most expensive company in town or the busiest one losing money on every job.

1. **Call three competitors as a homeowner.** Ask for their after-hours emergency rate and their dispatch fee. Write it down. This takes 20 minutes and is the single most useful market research you will do.
2. **Get a real lumber quote** from your local supplier for a standard 16' deck package. Material cost drives 35–45% of a deck price and varies enormously by region.
3. **Get your actual workers' comp rate** from your broker for carpentry class codes. It swings from roughly 6% to over 20% of payroll by state and directly sets your burdened labor rate. → §5.3
4. **Check three local remodelers' published deck pricing.** Most publish a per-square-foot range on their site.
5. **Then rebuild the rate card**, and re-run §6 with real numbers.

> **Position at or slightly above the local median, never below it.** You are selling 90-minute response, full insurance coverage, and a licensed crew. Competing on price against uninsured handymen is a race you win by going out of business. When someone says you're expensive, the answer is *"we are — here's what that buys you,"* not a discount.

4. Operations Manual

> This is the working core of the business. Sections 1–3 are what you show the investor. **This** is what you run the company on. Print it and keep it in the truck.

4.1 Intake — the most important 90 seconds

The single rule: the phone gets answered by a human, 24 hours a day, every day.

An emergency caller who reaches voicemail is gone in under 90 seconds. They are not leaving a message; they are dialing the next result. Every missed call costs an $850 mitigation ticket *and* a 25% shot at a $19,000 rebuild — call it **$5,600 of expected value per missed call.** A 24/7 answering service costs $200–$450/month. The math is not close.

Intake stack

Layer	Tool	Purpose
1. Business hours (7a–6p)	Office coordinator	Live answer, full intake, dispatch
2. After hours	24/7 live answering service	Live answer, script-driven intake, escalate to on-call
3. Overflow / simultaneous calls	Answering service	Never let a second caller hit voicemail
4. Web & text	CRM with auto-response	Instant acknowledgment, then human follow-up in <15 min

Choose an answering service that specializes in home services / restoration. They already know the triage vocabulary. Give them the script below, a call-outcome report requirement, and a monthly review of recordings. Audit them — a bad answering service quietly destroys the business and you'll never see it in your own call log.

Emergency intake script

Give this to the answering service verbatim and post it at the office desk.

1. Answer within 3 rings: *"[COMPANY] emergency repair, this is [Name] — are you and everyone in the home safe right now?"*

2. Safety screen. If ANY of these — stop and redirect immediately:

- Smell of gas → *"Get everyone out of the house right now and call 911 and your gas utility from outside. Call us back once they've cleared it and we'll handle the repair."*
- Active fire or smoke → **911.**
- Sparking, arcing, or water contacting electrical → *"Shut the main breaker off if you can do it safely. If you can't reach it safely, get out and call the power company."*
- Structure actively collapsing / audible cracking → *"Get everyone out now and call 911."*

3. Capture — every field, no skipping:

- Name, callback number, **service address**
- What happened, and when did it start
- Is water still running? *(If yes: "Do you know where your main shut-off is? Can you get to it? I'll stay on the line.")* — **stopping the water is worth more to them than anything else you say tonight**
- Is the home secure? Any opening to the outside?
- Is anyone in the home elderly, disabled, an infant, or medically vulnerable? *(Escalates priority)*
- Homeowner or renter? *(Renter → we need the owner's authorization)*
- Have you contacted your insurance company yet?

4. Set expectations — say the numbers out loud: *"Here's what happens next. Our technician will call you within 15 minutes and be on site within 90 minutes. Our after-hours dispatch fee is $275, which covers the first hour on site, and anything beyond that is billed hourly — the tech will walk you through the full cost before any work starts. Does that work?"*

5. Confirm and dispatch: *"You're confirmed. [Tech name] is on the way. If anything changes, call this same number — someone's here 24/7."*

Why the price is disclosed on the phone, always: it eliminates the doorstep argument, it filters people who were never going to pay, and it makes you the honest company. The ones who balk at $275 at 2am were going to be a collections problem at 2pm.

Triage priority

Priority	Response	Examples
P1 — Immediate	Dispatch now, on site < 90 min	Active water, open structure, unsecured after break-in, tree through roof, vulnerable occupant
P2 — Same day	Dispatch within 4 hours	Contained leak stopped, damaged but secure, failed door that still locks
P3 — Next business day	Schedule for morning	Cosmetic damage, non-urgent repair, secure and dry
Refer out	Referral within 5 minutes	Gas, main electrical, sewage, abatement, in-progress collapse

A P3 dispatched at 1am is a margin loss and a tired crew. Train the answering service to distinguish. "Urgent to the homeowner" and "emergency" are different things, and the tech's phone call within 15 minutes is where that gets sorted — kindly.

4.2 Dispatch & the on-call rotation

On-call structure:

- One lead tech + one helper on call per week, rotating.
- On-call runs Friday 5pm → Friday 5pm.
- **On-call stipend: $200/week** whether or not they get called out, plus full hourly (at premium rate, 2-hour minimum) for every call taken.
- On-call tech keeps the stocked response vehicle at home. This is what makes 90 minutes achievable — nobody drives to a shop first.
- A designated backup is named every week. If primary doesn't acknowledge dispatch in 10 minutes, the answering service escalates to backup, then to an owner.

The stipend is not optional and it is not generous. Being tethered to a phone for 168 hours has a real cost. Underpay it and your best carpenter quits or stops answering, and either way the 90-minute promise dies.

Dispatch sequence, target 15 minutes call-to-rolling:

```
0:00  Call received, intake completed
0:03  Answering service pages on-call tech (call + text with address & summary)
0:08  Tech acknowledges (10-min escalation timer to backup)
0:12  Tech calls homeowner directly — confirms details, re-confirms pricing,
      gives an ETA, and coaches them on immediate steps (shut-off, move
      valuables, don't walk on a sagging ceiling)
0:15  Rolling
≤1:30 On site
```

That 12-minute homeowner call is a competitive weapon. No competitor does it. It converts panic into confidence, it filters out the jobs that aren't real, and it means the tech arrives to a customer who is already glad they chose you.

4.3 The response vehicle

The vehicle *is* the emergency division. If the tech has to stop at Home Depot at 1am, the response promise is broken.

Standard load list

Securing & dry-in

- 6–8 sheets ½" OSB/plywood (pre-cut: 4×4, 4×8, 2×4 sections)
- 4 tarps (20×30) + 4 tarps (12×16), heavy mil
- Furring strips / 1×3 for tarp battens, sandbags
- Roofing nails, cap nails, screws, ring-shank nails
- Plastic sheeting (6 mil, 20×100), duct tape, painter's tape
- Zip poles and zipper doors for containment

Water

- Portable water extractor
- 2 dehumidifiers (LGR preferred)
- 4 air movers

- Moisture meter (pin and pinless) + thermo-hygrometer
- Wet/dry vac, squeegees, mops, buckets
- Nitrile gloves, N95s, Tyvek suits, boot covers

Structural & carpentry

- Assorted 2×4, 2×6, 2×8 (8' and 10')
- Adjustable steel shoring posts (4)
- LVL scrap / blocking stock
- Simpson connectors, structural screws, lag bolts, joist hangers
- Construction adhesive, spray foam

Plumbing / electrical stop-gap

- SharkBite fittings & caps (½", ¾"), PEX, pipe cutter
- Push-to-connect valves, hose clamps, pipe repair tape
- Wire nuts, electrical tape, temporary junction boxes
- **For stopping damage only** — licensed trades do the permanent repair

Power & light

- Generator (3500W+), fuel can
- 2 LED work lights on stands, headlamps, 100' extension cords
- Battery-powered everything (impact, circ saw, recip saw, drill) + spare batteries

Site & safety

- First aid kit, fire extinguisher, eye wash
- Fall protection harness + rope grab, ladder (24' extension + 6' step)
- Cones, caution tape, floor protection runners, shoe covers
- Camera/tablet, printed forms, tape measure, chalk, marker

Customer-facing

- Clean company shirts (spare set)
- Business cards, door hangers, branded folder for leaving documentation

Vehicle rules

- **The on-call tech restocks before going off rotation.** Signed restock checklist handed to the coordinator. No signature, no on-call stipend paid.
- Truck inventory is audited monthly by an owner.
- Fuel above ½ tank at all times when on call.
- Vehicle is wrapped and clean. It is a rolling billboard parked in the driveway of a neighborhood full of homeowners who just watched something bad happen to a neighbor.

4.4 Documentation standard

Every emergency job, no exceptions, no discretion. This is what gets insurance claims paid and what defends you when someone claims you caused the damage.

On arrival, before touching anything:

1. Photo of the house front with the address number visible
2. Wide shots of every affected room from all four corners
3. Close-ups of all damage
4. Photo of the source (the failed pipe, the hole, the broken window)
5. Moisture readings — photograph the meter *against the surface being read*
6. Photo of anything already damaged that we did not cause (**this protects you**)

During:

7. Progress photos of each mitigation step
8. Photo of every piece of equipment placed, with its location
9. Photo of any hidden condition discovered (rot, mold, prior bad repair, no header)

On completion:

10. Wide shots of every affected area, same angles as the "before"
11. Photo of the completed securing / tarp / shoring
12. Photo of the signed Work Authorization
13. Photo of the equipment left on site and the written pickup date

Also captured: arrival and departure timestamps, all materials used with quantities, all labor hours by person, a written narrative of what was found and what was done, and weather conditions if the loss is weather-related.

> **Rule: if it isn't photographed, it didn't happen and it won't be paid.** An adjuster denying a line item is not asking whether you did the work — they're asking whether you can prove it. Techs who won't document don't stay on the emergency rotation.

The whole package goes to the homeowner the next morning (§3.3) and into the job file.

4.5 Project job flow (Division B)

Every project moves through nine gates. **A job cannot advance until its gate is closed.**

Gate	What happens	Gate closes when
1. Lead	Logged in CRM within 15 min, contacted within 1 business hour	Appointment set or lead disqualified
2. Site visit & scope	Measure, photograph, identify hidden risk, discuss budget range on site	Scope documented, budget range verbally agreed
3. Estimate	Bottom-up build per §3.2, written material & sub quotes	Estimate delivered within **3 business days**
4. Contract	Written contract: scope, exclusions, price, schedule, payment terms, change order policy, warranty, right to cancel	Signed + deposit **cleared**

Gate	What happens	Gate closes when
5. Pre-production	Permits pulled, materials ordered, subs scheduled, crew assigned, job number issued	Materials confirmed & permit in hand
6. Mobilization	Protection down, dumpster set, site rules reviewed with homeowner	Mobilization draw collected
7. Production	Daily log, daily photos, weekly job cost review, inspections scheduled	Rough-in inspection passed
8. Finish & punch	Walkthrough with homeowner, punch list written and dated	Every punch item signed off
9. Close	Final invoice, lien release exchanged, warranty issued, **review requested**, HomeGuard offered	Final payment cleared

Gate rules that are not negotiable

- **No work starts before a signed contract and a cleared deposit.** Not "the check is in the mail." *Cleared.*
- **No change without a signed change order at a stated price.** The verbal "while you're here, can you also…" is the single largest source of margin loss in remodeling. The answer is always: *"Absolutely — let me write that up, it'll be about $X, and I'll get it to you this afternoon."* → forms/change-order.md
- **The daily log is filled out every day by the crew lead.** Who was there, hours, what got done, what's blocked, weather, deliveries, visitors. Ten minutes. It wins disputes and it makes job costing possible. → forms/daily-job-log.md
- **Permits get pulled.** Working without a permit voids the homeowner's insurance on that work, exposes you to license discipline, and creates a title problem that surfaces when they sell. Structural, electrical, plumbing, decks over a height threshold, and egress changes essentially always require one. When in doubt, call the building department — they will tell you for free.
- **Punch list gets a date.** Open punch lists are how final payments die. Walk it, write it, date it, finish it inside 5 business days.

4.6 Money controls

Profitable contractors go broke. These are the controls that prevent it.

Job costing — every job, every week

Every job gets a **job number** at Gate 5, and every dollar of labor, material, sub, and equipment gets coded to it. Weekly, compare estimated vs. actual by category.

```
Job #2026-0148 — Henderson Deck
                     Estimated    Actual    Variance
  Labor (hrs)             96         112      -16 hrs  ⚠
  Labor ($)          $ 4,240     $ 4,947     -$  707
  Materials          $ 6,800     $ 7,150     -$  350
  Subs               $ 1,200     $ 1,200     $     0
  ──────────────────────────────────────────────────
  Direct cost        $12,240     $13,297     -$1,057
  Contract price     $19,500     $19,500
  Gross margin          37.2%       31.8%     -5.4pts  ⚠
```

Then ask why, every time. Was the estimate wrong, or was the execution wrong? Those have completely different fixes, and a company that doesn't know which one it has will keep making the same mistake at increasing volume. Job costing is not accounting — it is how estimating learns.

Cash rules

1. **Deposits before mobilization.** No exceptions.
2. **Invoice the day the milestone is hit.** Not Friday. Not month-end. That day. Every day of delay is a day of your money funding someone else's house.
3. **Draws stop the job when late.** Written notice, work stops, resume on payment. Put it in the contract so it's a term, not a fight.
4. **Materials on the business card, coded to the job**, paid in full monthly. This gives 30–45 days of free float and a clean audit trail — but only if you never carry a balance at 24% interest.
5. **Preserve lien rights on every job.** Many states require a **preliminary notice** within a set window (often 20 days from first furnishing) or you lose lien rights entirely. Find your state's rule and build it into Gate 5. → §8.1
6. **Collect a lien waiver from every subcontractor** with their payment. Otherwise a sub you already paid can lien your customer's house, and you will pay twice.
7. **Set aside taxes weekly**, in a separate account. Pass-through income tax is not withheld for you. Roughly 25–30% of distributions.
8. **Nothing over 60 days.** At 30 days: call. At 45: written demand. At 60: lien notice or collections. Receivables age into losses fast, and the contractor who is uncomfortable asking for money is the one who goes under.

Weekly financial cadence — 45 minutes, every Monday

- Cash position and next 3 weeks of committed outflows
- Receivables aging
- Job cost variance on every active job
- Backlog: contracted work not yet started (this is your forward revenue)
- Last week's crew utilization

4.7 The weekly scorecard

One page. Reviewed by both operators every Monday. If a number is red two weeks running, it becomes the week's priority — not a topic for later.

Metric	Target	Source
Calls received	—	Answering service report
Calls answered live	**≥ 98%**	Answering service report
Avg. call-to-on-site time	≤ 90 min	Dispatch log
Emergency jobs completed	—	Job log
Avg. emergency ticket	≥ $850	Invoicing
Qualified rebuild opportunities *(≈35% of calls)*	—	CRM
Qualified call → estimate delivered	**≥ 60%**	CRM
Estimate → signed contract	**≥ 40%**	CRM
Net conversion (qualified → rebuild)	**≥ 25%**	CRM
Estimates delivered within 3 days	100%	CRM

Metric	Target	Source
Crew utilization	**≥ 70%**	Payroll vs. job hours
Gross margin, jobs closed this week	**≥ 42%**	Job costing
Receivables > 45 days	$0	Accounting
Callbacks / warranty visits	≤ 5% of jobs	Job log
New reviews	≥ 3/week	Google
Safety incidents	0	Incident log

The two-stage conversion split matters. "We're not converting" has two very different causes: not *asking* (emergency → estimate) or not *closing* (estimate → contract). The first is a technician training problem, the second is a pricing or presentation problem. Measuring them together tells you nothing actionable.

4.8 Technology stack

Keep it small. Most contractors buy six tools, use two, and pay for all of them.

Function	Tool	Cost/mo	Priority
CRM + estimating + scheduling + invoicing	Jobber, Housecall Pro, or ServiceTitan	$150 – $400	**Day 1**
Accounting + job costing	QuickBooks Online Plus	$100	**Day 1**
24/7 answering service	Home-services specialist	$200 – $450	**Day 1**
Phone system	VoIP with call recording & tracking numbers	$50	**Day 1**
Insurance estimating	**Xactimate**	$150 – $300	Month 1–2
Photo & job documentation	CompanyCam	$60	Month 1
Payroll	Gusto or ADP	$80	**Day 1**
E-signature	Built into CRM, or Dropbox Sign	$0 – $25	**Day 1**
Total		**$790 – $1,465/mo**	

Set up job costing in QuickBooks before the first invoice. Retrofitting it later is brutal and you will not do it, and then you will run a construction company without knowing which jobs make money.

Pick one CRM and commit. Switching CRMs mid-year costs more in lost data and retraining than any feature difference is worth.

4.9 Quality control & warranty

Three-point quality check on every project:

1. **Rough-in check** by an owner or lead before anything gets covered
2. **Pre-finish check** before paint and trim
3. **Final walkthrough** with the homeowner, punch list written on the spot

Warranty: 1 year on workmanship, manufacturer warranty passed through on materials. Issue it in writing at close. Some states mandate a longer implied warranty on structural work — check yours.

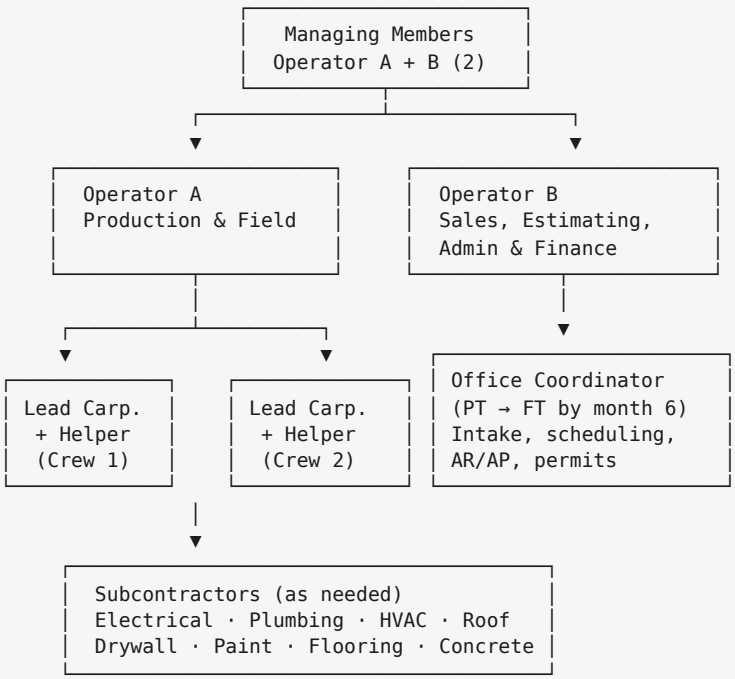
Callback policy: a warranty callback is scheduled within 3 business days and it is never argued about in front of the customer. Fix it, then figure out internally whether it was a crew error, a material failure, or a scope misunderstanding. **Track callbacks by crew lead** — a callback rate above 5% is a training problem, and it is far cheaper to train than to lose reviews.

Reviews: ask at close, every time, while the goodwill is at its peak. Text a direct link within 2 hours of final walkthrough. For emergency jobs, ask the morning after — that is peak gratitude. Reviews are the primary ranking factor in local search, which means they are the primary driver of emergency call volume, which means they are the top of the entire funnel. → §7.3

5. Staffing & Crew

5.1 Org structure

Year 1 runs lean and deliberately overlapping. Both owners work in the field early on; that is normal and necessary, and the plan is to engineer yourself out of it.



Both crews carry the on-call rotation. There is no separate emergency team in Year 1 — that's what makes the economics work, because emergency response alone cannot keep a dedicated crew busy, and a dedicated crew sitting idle is a 40-point margin drag.

5.2 Roles & compensation

> Wage figures are national midpoints. **Calibrate to your market** before making offers — carpenter wages vary by more than 2x across US metros.

Role	Count (Yr 1)	Base pay	Notes
Managing Member — Production	1	$54,000 salary	Field leadership, QC, on-call escalation
Managing Member — Sales/Admin	1	$54,000 salary	Estimating, sales, adjuster relationships, finance
Lead Carpenter	2 (1 at start, 2 by mo. 4)	$30 – $38/hr	Runs a crew, reads plans, owns quality & the daily log
Carpenter / Helper	2 (1 at start, 2 by mo. 6)	$19 – $26/hr	Production support, demo, material handling

Role	Count (Yr 1)	Base pay	Notes
Office Coordinator	1 (PT mo. 1 → FT mo. 6)	$21 – $26/hr	Intake, scheduling, AR/AP, permits, review requests

Owner salary is a real expense, not a leftover. It is in the P&L (§6.3) because if you don't price your own labor into your bids, every job looks profitable and the company slowly starves. Pay yourselves a below-market-but-real salary in Year 1, raise it in Year 2 when margins support it.

Variable compensation

Base pay alone doesn't produce the behavior this business needs. Layer on:

Incentive	Amount	Who	Drives
On-call stipend	$200/week	Tech on rotation	Willingness to be tethered 168 hrs
Emergency callout premium	1.5x base, 2-hr minimum	Responding tech	Getting out of bed and going
Rebuild conversion bonus	$250 per emergency call that becomes a signed contract ≥$5,000	Responding tech	**The core business thesis**
Job margin bonus	10% of gross margin *above* the estimated margin	Crew lead	Efficiency, waste control, honest estimating
Safety bonus	$500/quarter	Every field employee	Zero recordable incidents, zero shortcuts
Review bonus	$25 per 5-star review naming the tech	Field employees	Reputation = call volume = everything

The conversion bonus is the most important line in this table. Emergency response is a customer acquisition channel, which means the technician standing in a flooded kitchen at 2am is your top-of-funnel salesperson whether you compensate them for it or not. $250 against a $19,000 contract at 40% margin is a 1.3% customer acquisition cost. Pay it happily and pay it fast — same-week, visibly, so the behavior gets reinforced while the memory is fresh.

The margin bonus needs one guardrail: it must be paid on *quality-passed* work only, released after the punch list closes. Otherwise you're paying people to rush, and you'll buy the margin back in callbacks.

5.3 The labor burden math

This is the number most contractors get wrong, and getting it wrong means every bid you write is too low. Your true cost of an employee is far above their hourly wage.

Component	Typical	Notes
Base wage	$34.00	Lead carpenter
FICA (Social Security + Medicare)	7.65%	$2.60
Federal unemployment (FUTA)	~0.6%	$0.20
State unemployment (SUTA)	1 – 5%	$1.02 (at 3%)
Workers' comp — carpentry class codes	**6 – 20%**	**$4.08 (at 12%)** ⚠
General liability allocation	~1.5%	$0.51

Component	Typical	Notes
Paid time off / holidays	~4%	$1.36
Training, certifications, PPE	~2%	$0.68
Burdened hourly cost		**$44.45**
		Burden multiplier: 1.31x

Then apply utilization. Nobody bills 100% of paid hours. Drive time between jobs, shop time, material runs, weather delays, and training are all paid and non-billable.

```
Burdened cost              $44.45 / paid hour
Utilization                     70%
──────────────────────────────────────────────
TRUE COST PER BILLABLE HR  $63.50

Bill rate                  $115.00 / hr
Gross margin on labor          44.8%   ✓
```

Three things fall out of this that should change how you operate:

1. **Workers' comp is the swing factor.** Carpentry class codes are among the most expensive in construction. Get your actual rate from your broker in week one — the difference between 8% and 18% is roughly $3.40/hr, which across two crews is about **$28,000 a year.** It also decides whether your bid prices are right.
2. **Utilization is worth more than wage negotiation.** Moving utilization from 65% to 75% cuts your cost per billable hour by $9.15 — more than you'd save haggling $3/hr off a wage, and without losing a good carpenter. Route jobs geographically, stage materials the night before, and stop sending leads on material runs.
3. **Never bid off base wage.** Bidding at $34/hr when the true billable cost is $63.50 means you are losing money on labor before you buy a single board. This is the most common fatal error in small contracting.

5.4 Hiring

Hire for reliability first, skill second. You can teach a reliable person to hang a door. You cannot teach an unreliable person to answer the phone at 2am.

What actually predicts success here:

- Shows up on time to the interview (a real signal, not a cliché)
- Clean driving record — they will drive a company vehicle
- Can explain a job they're proud of, in detail
- Can explain a mistake they made and what they changed after
- Is *willing* to be on call and understands what it means
- Presents well to a homeowner — this is a trust business in people's houses
- Passes a background check (**non-negotiable** — you are sending them into homes, often at night, often to people who are frightened)

Interview process: phone screen → in-person → **paid working interview, one full day on a real job.** The working day tells you more than every question you could ask. Pay them for it regardless of outcome.

Where to find them: referrals from your own crew (pay a $500 referral bonus after 90 days), lumberyard and supply-house counters, local trade schools and apprenticeship programs, and — bluntly — the good carpenter at a competitor who is

tired of not being paid on time.

Retention is cheaper than recruiting. Turnover in a crew is enormously expensive: lost productivity, retraining, quality problems, and unfamiliar faces in customers' homes. Pay on time every single week, provide good tools, don't make people supply their own consumables, give real schedule predictability where possible, and never make someone absorb the cost of a mistake that was actually an estimating error.

5.5 Onboarding — first week

Day	Content
1	Paperwork (W-4, I-9, direct deposit), handbook, safety orientation, PPE issued, vehicle policy, phone/app setup
2	Shadow a crew lead. Company standards: cleanliness, customer interaction, photo documentation
3	Emergency protocol: intake, dispatch, safety screens, the documentation standard, the vehicle load list
4–5	Working with the crew under supervision. Daily log training. First solo tasks.
30-day	Formal check-in: what's working, what's confusing, pay review if warranted

Non-negotiables covered on day one: no work without PPE; fall protection above 6 feet; no impaired work, ever; every job gets photographed; the daily log gets filled out; and the customer's house gets left cleaner than you found it.

5.6 Subcontractor management

Subs will deliver 20–30% of your project revenue. Manage them like it.

Before a sub sets foot on a jobsite — all four, no exceptions:

1. ☐ Signed subcontractor agreement on file → forms/subcontractor-agreement.md
2. ☐ **Current Certificate of Insurance** naming `[COMPANY] LLC` as additional insured
3. ☐ **Proof of their workers' compensation coverage** (or valid state exemption)
4. ☐ Verified trade license (verify it on the state board site — don't accept a photo)

> **Why #3 will cost you real money if you skip it.** At your annual workers' comp audit, the carrier reviews every dollar you paid to subcontractors. **For any sub without proof of their own comp coverage, they charge you premium as if that person were your employee.** A year of paying a $60K uninsured sub can generate a five-figure audit bill that arrives with no warning and no negotiation. A COI folder is the cheapest insurance in this business. → forms/sub-insurance-checklist.md

Set COI expiration reminders. A COI that was valid in March is worthless in October, and the audit looks at the whole year.

Operating rules:

- Written scope and written price before work starts. Verbal sub quotes create disputes you will lose.
- Pay subs on your terms (net 15–30), not on the customer's payment timing — but never pay ahead of work completed.
- **Collect a lien waiver with every sub payment.** An unpaid sub can lien your customer's house even if you already paid the general amount, and you will end up paying twice.
- Hold 10% retainage on subs over $5,000 until final sign-off.

- Subs represent your company to the homeowner. Same standards: clean, professional, no smoking, no music without asking, site cleaned daily. Hold them to it or replace them.

Build a bench of two per trade. One-deep is a schedule failure waiting to happen, and the sub who knows they're your only option prices accordingly.

6. Financial Model

> **These are planning numbers built on national averages.** Three inputs must be replaced with real local quotes in week one — your **workers' comp rate**, your **insurance premium**, and your **local labor wage** — because all three move the model materially. Method in §3.6.

6.1 Startup capital — sources & uses

Uses of funds

Category	Amount	Detail
Working capital	**$95,000**	12 weeks of payroll + materials float. **The most important line.**
Vehicles (2 units)	$28,000	Down payments on 2 used ¾-ton vans/trucks, or 1 purchased outright
Vehicle upfit	$9,000	Shelving, ladder racks, bins, wraps, lighting
Emergency response equipment	$26,000	Extractor, 4 dehumidifiers, 8 air movers, generator, moisture meters, shoring posts, initial stock
Tools & jobsite equipment	$22,000	Cordless fleet, table/miter saws, compressors, nailers, levels, scaffolding, ladders
Launch marketing & branding	$28,000	Logo/brand, website, vehicle wraps, signage, initial paid search, print collateral
Technology & phones	$9,500	CRM setup, QuickBooks, phones, tablets, software deposits, answering service setup
Insurance deposits & bond	$6,000	Down payments on GL, auto, WC; license/surety bond
Formation, legal, licensing	$3,500	LLC filing, operating agreement, contractor license, local permits, IICRC WRT cert
Contingency (10%)	$22,700	Because something always costs more
TOTAL	**$249,700**	

Sources of funds

Source	Amount
Capital Partner investment	$250,000
Total	**$250,000**

> **Do not cut working capital to buy equipment.**
>
> This is the mistake that kills first-year contractors, and it kills them while their order book is full. You pay crews every week and buy materials up front. Homeowners pay on draws; insurance carriers pay in 30–60 days. That gap is real, it is large, and it does not care how profitable your jobs are. The base case below shows the company running a **cumulative operating deficit that bottoms out around –$38,000 in month 5**, *before* accounting for receivables timing. $95,000 of working capital is the honest number. A nicer truck is not.
>
> **Also negotiate a $50,000 line of credit** in month one, while the balance sheet still shows the full capital injection. Banks lend to companies that don't need money. Draw on it only for receivables timing, never for operating losses.

6.2 Revenue build — Year 1 base case

The emergency funnel, stated honestly

The "25% conversion" figure means **25% of *qualified* emergency calls** — calls involving damage that actually requires reconstruction. A jammed door or a loose deck rail is a legitimate emergency ticket but there is no rebuild behind it. Roughly 35% of emergency calls are qualified.

```
365 emergency calls received in Year 1
  ↓  ~35% involve damage requiring reconstruction
128 qualified rebuild opportunities
  ↓  60% → estimate delivered within 3 days
 77 estimates presented
  ↓  42% → signed contract
 32 rebuild contracts won
  ↓  30–90 day lag from call to billing
~22 contracts billed within Year 1  ·  avg $14,000  =  $308,000
```

The other 10 signed contracts bill in Year 2 — which is exactly why Year 2 opens strong.

Revenue by source

Source	Volume	Avg ticket	Year 1 revenue
Emergency mitigation & repair	365 calls	$850	$310,250
Rebuilds converted from emergency calls	22 contracts	$14,000	$308,000
Direct-channel projects (search, referral, reviews)	12 contracts	$13,500	$162,000
Total			**$780,250**

Monthly ramp

Month	Emerg. calls	Emergency $	Project $	Total revenue
1	14	$11,900	$12,000	**$23,900**
2	18	$15,300	$18,000	**$33,300**
3	22	$18,700	$24,000	**$42,700**
4	26	$22,100	$30,000	**$52,100**
5	28	$23,800	$34,000	**$57,800**
6	30	$25,500	$38,000	**$63,500**
7	32	$27,200	$42,000	**$69,200**
8	34	$28,900	$45,000	**$73,900**
9	36	$30,600	$48,000	**$78,600**
10	38	$32,300	$55,000	**$87,300**
11	41	$34,850	$60,000	**$94,850**
12	46	$39,100	$64,000	**$103,100**

Month	Emerg. calls	Emergency $	Project $	Total revenue
Total	**365**	**$310,250**	**$470,000**	**$780,250**

Seasonality is real and this ramp partly disguises it. Emergency volume spikes with weather — freeze events, storm season, heavy rain. Deck and exterior work concentrates in warm months. Expect your actual curve to be lumpier than this smooth ramp, with weather weeks running 3–4x normal emergency volume. **Plan crew capacity and cash for the spikes, and use the slow weeks for backlog remodeling.** That counter-cyclicality between the two divisions is a real structural advantage — use it deliberately.

6.3 Year 1 profit & loss

Cost of goods sold — 58% of revenue

Line	% of revenue	Year 1
Field labor (fully burdened, incl. workers' comp)	26.0%	$202,865
Materials	22.0%	$171,655
Subcontractors	8.0%	$62,420
Equipment rental, dumpsters, permits	2.0%	$15,605
Total COGS	**58.0%**	**$452,545**
GROSS PROFIT	**42.0%**	**$327,705**

Operating overhead

Line	Year 1	Notes
Owner salaries (2 × $54,000)	$108,000	**A real expense — see §5.2**
Owner payroll burden	$10,800	
Office coordinator (PT → FT, burdened)	$30,000	
Insurance — GL, umbrella, inland marine, EPLI	$14,500	Workers' comp sits in COGS; auto sits in vehicles
Vehicles — payments, fuel, maintenance, commercial auto	$33,600	2 units
Marketing & advertising	$46,800	6.0% of revenue
Software & technology	$12,000	Per §4.8
Professional services — CPA, legal	$12,000	
Licenses, permits, bonds, certifications, training	$9,000	
Office/shop rent, storage, utilities, phone	$14,400	
Bank & merchant processing fees	$6,000	~2.6% on card volume
Miscellaneous & contingency	$5,500	
Total overhead	**$302,600**	**38.8% of revenue**

Bottom line

	Year 1	%
Revenue	$780,250	100.0%
Cost of goods sold	($452,545)	58.0%
Gross profit	**$327,705**	**42.0%**
Operating overhead	($302,600)	38.8%
NET OPERATING INCOME	**$25,105**	**3.2%**

Read this correctly. A 3.2% net in year one — *after* paying both owners a real salary — is a normal, healthy outcome for a startup contractor. The owners took $118,800 out of the business in compensation. Total owner benefit is roughly $143,900. The equity value is in Year 2, when revenue grows 70–85% against overhead that grows maybe 35%.

6.4 Break-even

Fixed overhead: $302,600/yr = **$25,217/month Blended gross margin:** 42%

```
Monthly break-even revenue  =  $25,217 ÷ 0.42  =  $60,040
Annual break-even revenue   =  $720,476
```

Month	Revenue	Gross profit	Fixed OH	Monthly NOI	Cumulative
1	$23,900	$10,038	$25,217	($15,179)	**($15,179)**
2	$33,300	$13,986	$25,217	($11,231)	**($26,410)**
3	$42,700	$17,934	$25,217	($7,283)	**($33,693)**
4	$52,100	$21,882	$25,217	($3,335)	**($37,028)**
5	$57,800	$24,276	$25,217	($941)	**($37,969)** ⬅ trough
6	$63,500	$26,670	$25,217	$1,453	**($36,516)** ⬅ monthly BE
7	$69,200	$29,064	$25,217	$3,847	($32,669)
8	$73,900	$31,038	$25,217	$5,821	($26,848)
9	$78,600	$33,012	$25,217	$7,795	($19,053)
10	$87,300	$36,666	$25,217	$11,449	($7,604)
11	$94,850	$39,837	$25,217	$14,620	**$7,016** ⬅ cumulative BE
12	$103,100	$43,302	$25,217	$18,085	**$25,101**

Two dates to put in front of the investor:

- **Month 6** — monthly break-even. The company stops losing money.
- **Month 11** — cumulative break-even. The company has earned back everything it lost.

And one warning: the cumulative operating deficit bottoms at **–$37,969**, but *cash* runs meaningfully worse than that, because receivables lag revenue by 30–60 days and the startup capex hits in month one. This table is the single clearest

justification for the $95,000 working capital line.

6.5 Cash flow discipline

Profit and cash are different, and it's the second one that kills you. The controls:

Control	Effect on cash
Deposits collected before mobilization	Customer funds materials, not you
Invoice the day a milestone is hit	Removes 5–15 days of lag, every job
Materials on the business credit card	30–45 days of free float
Sub payments net 15–30	Aligns outflow behind inflow
Weekly AR review, hard 60-day rule	Prevents receivables aging into losses
$50K line of credit, drawn only for timing	Covers the gap without diluting equity
Taxes set aside weekly in a separate account	Prevents the April surprise
10% retainage held on subs over $5,000	Cash buffer + quality leverage

Watch backlog, not just revenue. Backlog = contracted work not yet started. It is your forward visibility. If backlog is falling while revenue is rising, you are consuming your pipeline and revenue will fall off a cliff in 60 days. Most contractors notice this far too late.

6.6 Unit economics — why this model works

Cost to acquire an emergency call

```
Marketing spend, Year 1        $46,800
Emergency calls generated          365
──────────────────────────────────────
COST PER EMERGENCY CALL           $128
```

Value of one emergency call (steady state, no ramp lag)

	Amount
Mitigation revenue	$850
Expected rebuild revenue *(32 contracts ÷ 365 calls = 8.8% × $14,000)*	$1,232
Total expected revenue per call	**$2,082**
× 42% gross margin	
Expected gross profit per call	**$874**
Less: CAC	($128)
Less: technician conversion bonus (8.8% × $250)	($22)
Net contribution per emergency call	**$724**

```
RETURN ON ACQUISITION SPEND  =  $874 ÷ $128  =  6.8x
```

The thesis, in one comparison

	Emergency only	Emergency + rebuild
Revenue per call	$850	$2,082
Gross profit per call	$357	$874
Return on CAC	2.8x	**6.8x**

A 2.8x return on acquisition spend does not survive 39% overhead. A 6.8x return does. The rebuild conversion isn't a bonus on top of the emergency business — **it is the reason the emergency business is viable at all.** If conversion falls below ~15%, the model breaks and you are running an expensive handyman service. This is why conversion is on the weekly scorecard and why the technician bonus gets paid same-week without argument.

6.7 Sensitivity analysis

Scenario	Revenue	GM%	Overhead	Net income	Net %
Downside — slow ramp, 15% conversion, margin slippage	$600,000	38%	$290,000	**($62,000)**	**(10.3%)**
Base	$780,250	42%	$302,600	**$25,105**	**3.2%**
Upside — strong weather year, 32% conversion, disciplined costing	$950,000	45%	$320,000	**$107,500**	**11.3%**

The downside case is survivable and that's the point of the capital structure. A $62,000 loss against $250,000 of capital leaves the company alive with roughly $188,000 of runway to correct. It does not leave the company alive if working capital was spent on trucks.

What each variable is worth

Lever	Move	Annual profit impact
Gross margin	+1 point	**+$7,800**
Crew utilization	70% → 75%	**+$14,000**
Conversion rate	25% → 30%	**+$27,000**
Call answer rate	90% → 98%	**+$61,000**
Emergency ticket	+$100	+$36,500
Overhead	–5%	+$15,100

> **Look at that top line again. Answering the phone is worth more than everything else on this list.** Going from 90% to 98% live answer rate is worth roughly $61,000 a year in revenue at a cost of about $250 a month. There is no other lever in this business with that ratio, and it requires no skill, no capital, and no market conditions — only the discipline to never let a call go unanswered.

6.8 Years 2 and 3

	Year 1	Year 2	Year 3
Revenue	$780,250	$1,350,000	$2,000,000
Gross margin	42.0%	43.0%	44.0%
Gross profit	$327,705	$580,500	$880,000
Overhead	$302,600	$410,000	$560,000
Net operating income	**$25,105**	**$170,500**	**$320,000**
Net margin	**3.2%**	**12.6%**	**16.0%**
Crews	2	3–4	5–6
Headcount	7	12	18

Why margin expands:

- Overhead is largely fixed and stops scaling with revenue — this is the whole story
- Year 2 opens with ~10 signed contracts carried over from Year 1 plus real backlog
- Review count and search ranking compound; CAC falls as organic and referral share grows
- Adjuster relationships mature into inbound work at near-zero acquisition cost
- Job costing data from Year 1 makes Year 2 estimates materially more accurate
- Crews get faster on repeated work types; utilization climbs toward 75%

Year 3 optionality: a second service territory, HomeGuard recurring revenue at scale, or light commercial (property managers, small multi-family). Do not chase any of these until the core model is clean and repeatable in one metro. Contractors who expand at 3% net margin expand their losses.

6.9 Investor returns

Base case, $250,000 invested with the 8% preferred return and 35% Class B equity from §2.3:

Year	Net operating income	Available to distribute	Capital returned	Cumulative to investor
1	$25,105	~$18,000	$18,000	$18,000
2	$170,500	~$130,000	$130,000	$148,000
3	$320,000	~$240,000	$102,000 + pref	~$270,000

Full capital return plus the preferred lands in Year 3. From that point the investor's 35% runs against a business producing $320K+ annually, and they hold equity in a company with real enterprise value — residential contractors with clean books, recurring revenue, and documented systems trade in the 3–5x EBITDA range.

A $250,000 investment against a company worth $1.0–1.6M in Year 3, with 35% ownership, is roughly $350K–$560K of equity value on top of capital already returned.

That case rests entirely on the systems in Section 4 being run as written. Contractors without job costing, documented processes, and clean books don't sell for a multiple — they sell for the value of the trucks.

7. Marketing & Sales

7.1 Positioning

The line that does all the work:

> **"When your house can't wait until Monday."**

That single sentence carries the whole differentiator. Every competitor in the market either answers the phone at 11pm *or* can build you a kitchen. We do both, with our own crews, under one license and one insurance policy.

Two audiences, two messages, one company (this is why we run two DBAs — see §2.1):

	Emergency audience	Remodeling audience
State of mind	Panicked, deciding in 90 seconds	Researching, deciding over weeks
What they need to hear	*"We answer 24/7. On site in 90 minutes. Licensed and insured."*	*"Craftsmanship, clear pricing, on schedule, and we're the ones who fix it if something goes wrong."*
Proof they look for	Reviews, real photos, a person who answers	Portfolio, references, warranty, permits pulled
Where they look	Google search, maps, on the phone	Google, Instagram, referrals, neighbors
Decision time	Under 5 minutes	2–8 weeks

Never compete on price. You are selling response time, licensure, insurance, and the fact that a real company will still exist in two years when the deck needs a warranty repair. When a prospect says you're expensive, the answer is *"we are — here's what that buys you,"* not a discount. Discounting to win work is how contractors end the year busy and broke.

7.2 Channels and budget

Year 1 marketing budget: **$46,800** (6.0% of revenue). Allocation:

Channel	Year 1	Share	Serves
Google Local Services Ads + Search	$18,000	38%	**Emergency — highest intent, pay-per-lead**
Google Business Profile + local SEO	$4,800	10%	Both — compounds, near-zero marginal cost
Website + landing pages	$6,000	13%	Both
Vehicle wraps & yard signs	$5,500	12%	Both — one-time spend, years of impressions
Direct mail (storm-triggered, targeted)	$5,000	11%	Emergency + neighborhood saturation
Social (Instagram/Facebook, project content)	$3,500	7%	Remodeling
Referral & partner program	$2,500	5%	Both — highest ROI channel
Print, door hangers, community sponsorship	$1,500	3%	Local awareness
Total	**$46,800**		

Where to actually start

1. Google Business Profile — free, day one, highest priority. Emergency searches are overwhelmingly local and map-pack driven. Claim it, complete every field, add real project photos weekly, list 24/7 hours (this is a genuine ranking and click advantage — most competitors list 8–5), and answer every question. **This is the single most valuable free asset in a local home-services business.**

2. Google Local Services Ads (LSA). Pay per lead, not per click. The "Google Guaranteed" badge requires background checks and license/insurance verification, which is a barrier your uninsured competitors can't clear — that's the point. LSAs appear above everything else on emergency searches.

3. Search ads on emergency-intent keywords. Bid on the language people actually type at midnight: *emergency plumber near me open now, burst pipe repair 24 hour, board up service, roof leak emergency, water damage repair tonight, tree fell on house*. These convert at extraordinary rates because intent is absolute. Bid aggressively — a $60 click that produces a $2,082 expected-value call is a bargain.

4. Vehicle wraps. A wrapped truck in a driveway at 2am is seen by every neighbor the next morning — in a neighborhood that just experienced the same storm. Cheapest impressions you will ever buy.

5. Storm-triggered direct mail. After a significant weather event, mail the affected zip codes within 72 hours. Timing is everything; a generic postcard is wasted, a postcard that arrives three days after the hail is not.

Track everything

- **Unique tracking phone numbers per channel.** Without this you're guessing, and you will keep funding the channel that feels productive instead of the one that is.
- Ask every caller how they found you, and log it in the CRM.
- Review cost-per-lead and cost-per-*booked-job* monthly. Cut what doesn't convert within 60 days and move the money to what does.

7.3 Reviews and reputation

Reviews are the top of the entire funnel. They drive local search ranking, which drives emergency call volume, which drives rebuild conversion, which is the business. Treat review generation as an operational process, not a marketing afterthought.

Target: 50+ Google reviews at 4.7★+ by month 12 — roughly 3 per week.

The system:

1. Ask at the moment of peak gratitude. For emergencies, that's the **morning after** — not on site while they're still stressed. For projects, at the final walkthrough.
2. **Text a direct review link within 2 hours** of that moment. Email gets ignored; text gets a ~30% response rate.
3. Pay the **$25 review bonus** when the review names the technician (§5.2). It makes the whole crew care.
4. **Respond to every review**, positive and negative, within 24 hours.
5. **Answer negative reviews well.** Never argue, never blame the customer. Acknowledge, state what you're doing about it, take it offline. A well-handled 2-star review sells more work than a 5-star review, because it shows prospects what happens when something goes wrong.

Never buy fake reviews. Google detects and penalizes them, and a suspended profile would take out your primary lead source.

7.4 Referral and partner channels

The highest-ROI channel in the business and the one that costs the least. Build these deliberately in the first 90 days.

Partner	What they give you	What you give them
Insurance adjusters ⭐	Direct referrals on claims — the highest-value referrals available	Clean documentation, fast response, honest scopes, never an inflated estimate
Insurance agents (local)	Referrals when a client calls them first after a loss	Reliability, a card they can hand out, no callbacks to them
Plumbers, electricians, HVAC	They find water and structural damage constantly	Reciprocal referrals + you subcontract them
Roofers	Interior damage after leaks	You refer full roof replacements to them
Realtors	Pre-sale repair work, inspection punch lists	Fast turnarounds on tight closing timelines
Property managers	Steady repeat volume	Priority response, predictable pricing
Restoration franchises	They mitigate, you rebuild — many subcontract reconstruction	Reliable, licensed carpentry capacity
Past customers	Referrals + repeat work	$200 referral reward on a signed job

On adjusters specifically — this deserves real effort. Adjusters carry heavy caseloads and refer to contractors who make their files easy: fast response, complete photo documentation, properly formatted Xactimate estimates, no scope inflation, no arguing. Introduce yourself in person. Show up to the inspection. Submit clean paperwork every single time.

Three good adjuster relationships are worth more than $30,000 of advertising, and they compound — an adjuster who trusts you refers you for years at zero acquisition cost.

7.5 The sales process

Emergency (decided in under 5 minutes)

The sale is won at intake and on site. There is no pitch.

- Answer live in under 3 rings
- Screen for safety, capture details, **state the price out loud**
- Technician calls within 15 minutes with an ETA
- Arrive when you said, in a clean truck and a clean shirt
- Explain what you're doing in plain language before you do it

That's it. Competence at 2am is the entire sales presentation. The rebuild sale happens later, per §3.3.

Projects (decided over weeks)

1. **Respond to the lead within one business hour.** Speed-to-lead is the strongest predictor of close rate in home services. Most competitors take a day.
2. **Site visit — listen more than you talk.** Understand what they actually want, what they're worried about, and what they've been told by others.
3. **Discuss budget on the first visit.** Give a range and watch the reaction. An estimator who won't talk money until the proposal wastes everyone's time and loses to whoever was straight with them.

4. **Deliver the estimate within 3 business days**, always. Contractors lose more work to slowness than to price. This is a controllable variable and most of your competitors are bad at it.
5. **Present in person or on a call — never by bare email.** Walk them through scope, exclusions, schedule, and payment terms. An emailed PDF gets compared on price alone, which is the only comparison you lose.
6. **Ask for the signature.** Directly. *"If this looks right, I can get you on the schedule for the week of the 14th — should I write it up?"*
7. **Follow up at 3 days, 10 days, and 30 days.** Then quarterly. Remodeling decisions stall for months, and the contractor still politely present when the decision unsticks wins the job.

Estimate presentation — what to include

- **Detailed scope** — what's included, stated so a non-builder understands it
- **Explicit exclusions** — what is *not* included. This prevents the most common source of disputes and it makes you look more competent, not less.
- **Allowances** clearly stated for anything not yet selected (fixtures, tile, hardware)
- **Schedule** — realistic start and duration, with weather caveats
- **Payment terms** and the change-order policy, stated before they sign, not after
- **Warranty** terms
- **Proof** — license number, insurance summary, references, photos of similar work

Give one clear price, not a menu of three tiers. Tiered pricing works for products, not for construction — it invites shopping the scope and signals that your first number was negotiable.

7.6 Content that actually generates work

Skip the generic blog. Two things reliably produce leads in this business:

1. Real project photos, posted consistently. Before/during/after on every project. Post to Google Business Profile and Instagram weekly. This is the remodeling portfolio and it costs nothing but the discipline to take the photos you're already required to take for §4.4.

2. Emergency preparedness content, timed to the season. *"Where is your water shut-off and can you reach it in the dark?" · "How to protect your pipes before a freeze" · "What to do in the first 10 minutes of a roof leak" · "What your homeowners policy actually covers after a storm."*

This content is genuinely useful, it earns local links and shares, and — most importantly — it puts your name in front of homeowners *before* the emergency. People call the company whose name they already know when the ceiling starts dripping.

8. Risk, Insurance & Compliance

> **This section is state-agnostic by design.** Every state regulates contractors differently. What follows is a checklist that applies everywhere plus exact instructions for filling in your state's specifics. **Complete §8.1 before the first job over $500.**

8.1 Licensing — the fill-in-the-blank checklist

Where to get real answers (free, in one afternoon)

Question	Where to ask
Do I need a state contractor license?	Search **"[your state] contractor licensing board"** — go to the `.gov` site only
What's the dollar threshold?	Same board. Many states require a license above **$500–$1,000** per job
Do I need a license bond?	Same board. Typically **$5,000–$25,000**, costs ~1–3% of face value annually
Local permits & business license?	**Your city/county building department.** Call them — they answer and it's free
Which work needs a permit?	Same building department. Ask specifically about decks, structural, and egress
Sales tax on materials or labor?	**[Your state] Department of Revenue.** Rules vary enormously
Preliminary notice deadline for lien rights?	**[Your state] mechanics lien statute.** Often **20 days** from first furnishing
Residential deposit cap?	Contractor board. Several states cap deposits by % or dollar amount
Right-of-rescission requirement?	Contractor board. Most states require a **3-day right to cancel** on in-home sales

Fill this in — then check every box

```
STATE: _____________________     COUNTY: _____________________

□ State contractor license required?          YES / NO
    License type/class needed:  _____________________________
    Threshold (job value above which required): $ ____________
    Exam required?   YES / NO      Exam date scheduled: _______
    Experience requirement: _________________________________
    License number (once issued): ___________________________
    Renewal date: ____________  Continuing ed hours/yr: _______

□ License / surety bond required?             YES / NO
    Bond amount: $ ____________   Annual premium: $ ___________

□ Local business license                      City/County: ______
    Cost: $ ________   Renewal: _____________

□ Sales & use tax registration                Account #: ________
    Is labor taxable in this state?   YES / NO
    Are materials taxed at purchase or at sale? _______________

□ State withholding + unemployment insurance accounts
    Withholding #: __________  SUTA #: __________  Rate: ______%

□ Residential deposit cap:  ______% or $ _____________ (or NONE)

□ Right to cancel:  ______ days    (must be in every contract)

□ Mechanics lien — preliminary notice due within ______ days
    of first furnishing labor/materials

□ Written contract required above $ _____________
    Required contract disclosures: ___________________________

□ Permits — which of these require one in your jurisdiction?
    □ Decks over ____ inches above grade    □ Structural/framing
    □ Egress window/door changes            □ Electrical
    □ Plumbing                              □ Roofing
    □ Siding                                □ Demolition
```

Federal requirements (these apply in every state)

- **EPA Lead-Safe RRP Certification — REQUIRED.** Any renovation disturbing paint in a home built **before 1978** requires an EPA-certified renovator and a certified firm. Firm certification is ~$300 for 5 years; the 8-hour renovator course is ~$250. **Fines run to five figures per violation per day.** A large share of your remodeling and restoration work will be in pre-1978 housing. **Get this before you take a single remodeling job.**
- **OSHA compliance** — fall protection above 6 feet in construction, ladder safety, respirable silica standard, hazard communication.
- **I-9 verification** for every employee.
- **Federal EIN** and payroll tax deposits on schedule.

8.2 The insurance stack

Nothing happens before this is bound. One uninsured incident on one job ends the company and reaches the members personally.

Coverage	Limits	Est. annual	Priority
General Liability	$1M per occurrence / $2M aggregate	$4,000 – $9,000	**Mandatory — day 1**
Workers' Compensation	Statutory	6–20% of payroll	**Mandatory — day 1**
Commercial Auto	$1M combined single limit	$3,500 – $7,000	**Mandatory — day 1**
Inland Marine (tools & equipment)	$50,000	$600 – $1,200	**Day 1**
Umbrella / Excess Liability	$1M – $2M	$1,200 – $2,500	**Day 1**
Contractor's Pollution Liability	$1M	$1,500 – $3,000	Month 1 — water/mold work
Installation Floater	Varies	$400 – $900	Month 1
Builder's Risk	Per project	Per job	Per job, larger remodels
Employment Practices (EPLI)	$500,000	$800 – $1,800	Month 6+
Cyber Liability	$500,000	$600 – $1,200	Month 6+

Notes that matter more than the premium

- **Workers' comp is not optional and it is the one people try to skip.** Most states require it from the first employee. Going without it means personal liability for every injury, criminal exposure in some states, and license revocation. It is also the largest single variable in your cost structure — **get your actual class-code rate from a broker in week one** because it directly sets your bid prices (§5.3).
- **Use a broker who specializes in contractors.** A general commercial agent will write you a policy with exclusions you won't discover until a claim is denied. Ask specifically about: water damage exclusions, **subcontractor coverage**, completed operations, and whether your emergency mitigation work is covered under GL or requires pollution liability.
- **Read the exclusions.** Many GL policies exclude mold, water damage from your work, and faulty workmanship. For a company doing water mitigation, those exclusions are the whole point of the policy.
- **Additional insured endorsements** — some customers and all commercial clients will require them. Know how to issue a certificate quickly.
- **Every sub carries their own.** No COI, no jobsite access. See §5.6 for why this is a five-figure issue at audit time.

8.3 Contracts — clauses that prevent disputes

Every project contract should contain all of these. Have an attorney draft the master template once (~$1,000); it pays for itself on the first dispute avoided.

- **Scope of work** — specific, in plain language
- **Exclusions** — explicitly what is *not* included. The most valuable clause in the contract and the most commonly omitted.
- **Price and payment schedule** — deposit, draws tied to milestones, retainage
- **Change order clause** — no change without a signed written order at a stated price
- **Concealed conditions clause** — how discovered rot, mold, code violations, or structural deficiencies are handled and priced. **Essential in older homes.**
- **Schedule with force majeure** — weather, supply delays, permit delays
- **Right to cancel** — 3 days in most states, required, must be conspicuous
- **Warranty** — 1 year workmanship, materials per manufacturer

- **Lien rights notice** — required disclosure language in many states
- **Dispute resolution** — mediation first, then arbitration; specify venue
- **Termination** — what each party can do, and what gets paid on termination
- **Site access, work hours, cleanup standards, pet and child safety**
- **Photo release** — permission to use project photos in marketing (ask for it in the contract; nobody says no at signing, and it builds your portfolio for free)

And for emergency work: the Work Authorization is your contract. It must be signed **before** work begins, must state the rate structure, and must authorize emergency mitigation. → forms/work-authorization.md

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8.4 Safety program

A serious injury is the most likely catastrophic event in this business. It is also the most preventable.

Program elements:

- **Written safety manual** — issued and signed on day one of employment
- **OSHA 10-hour** for all field employees; **OSHA 30-hour** for crew leads and owners
- **Weekly toolbox talk** — 10 minutes, documented with signatures
- **Job hazard analysis** on every emergency call before entry — emergency scenes are genuinely dangerous: compromised structure, energized water, unknown conditions, darkness
- **PPE issued and required** — hard hats, eye protection, gloves, hearing protection, respirators where needed, high-vis
- **Fall protection above 6 feet.** Non-negotiable, no exceptions, no "it's just a quick one"
- **Ladder safety** — 4:1 ratio, three points of contact, tied off
- **Silica** — wet cutting or vacuum shroud on all concrete/masonry work
- **Lockout/tagout** before any work near electrical
- **Incident reporting** — every incident *and near-miss* reported same day, investigated, documented
- **Zero tolerance for impairment.** Immediate termination. Non-negotiable in an industry where it's common and where it kills people.

Emergency-specific hazards to brief on explicitly: electrical hazard in standing water, structural collapse risk after impact, working at night with poor lighting, carbon monoxide from generators (never indoors or in a garage), contaminated water categories, and working alone. **Two-person minimum on any structural or water emergency after dark.**

Track it: zero lost-time incidents is a scorecard metric (§4.7) and it's tied to the quarterly safety bonus. Beyond the moral case, your workers' comp experience modifier directly sets your premium for years — a clean safety record is worth tens of thousands of dollars.

8.5 Risk register

Risk	Likelihood	Impact	Mitigation
Worker misclassification	**High**	**Severe**	Resolve §2.5 before launch. Default to W-2.
Cash flow shortfall	**High**	**Severe**	$95K working capital, $50K LOC, deposits, weekly AR review, stop-work on late draws

Risk	Likelihood	Impact	Mitigation
Uninsured subcontractor at comp audit	High	High	COI folder, expiration tracking, no COI = no site access
Underbidding from bad estimating	High	High	Job costing every job weekly; bottom-up estimates; 10% contingency on pre-1980
Missed calls	High	High	24/7 answering service, overflow routing, monthly audit of recordings
Key person dependency (2 owners)	High	High	Document processes, cross-train, key person life insurance, hire a coordinator early
Serious injury on site	Medium	Severe	Safety program, OSHA training, WC coverage, two-person rule after dark
Customer payment dispute	Medium	Medium	Written contracts, signed change orders, photo documentation, lien rights preserved
Working without a required permit	Medium	High	Permit check at Gate 5; when unsure, call the building department
Lead paint (RRP) violation	Medium	High	Firm + renovator certification before any pre-1978 remodel
Insurance claim denied / underpaid	Medium	Medium	Xactimate, IICRC cert, obsessive documentation, adjuster relationships
Crew turnover	Medium	Medium	Pay on time, good tools, real on-call comp, referral bonuses
Material cost spike between bid and build	Medium	Medium	Written quotes, price validity clause (30 days) in every estimate
Weather-driven revenue swings	Medium	Medium	Two divisions hedge each other; build backlog during storm season
Bad review / reputation hit	Medium	Medium	QC gates, 3-day callback policy, respond to every review in 24 hrs
Investor/operator conflict	Medium	High	Operating agreement: defined roles, short major-decisions list, deadlock clause, buy-sell
Economic downturn	Low–Med	Medium	Emergency work is non-discretionary; lean harder on it, cut marketing not crews

The top four are the ones that actually kill first-year contractors. Everything below them is manageable. Read those four rows again before you spend money on anything else.

8.6 Recordkeeping

Keep for the stated period, organized by job number:

Record	Retain
Contracts, change orders, work authorizations	7 years (or your statute of repose, whichever is longer)
Job photos and documentation	7 years — this is your defense in any construction defect claim
Payroll records, I-9s, time records	4–7 years
Subcontractor COIs and agreements	7 years
Tax returns and supporting records	7 years
Insurance policies	Permanently
Permits and inspection sign-offs	Permanently, by address

Record	Retain
Safety training records, incident reports	5 years (OSHA 300 logs: 5 years)
Warranty issuances	Warranty term + 3 years

Store digitally with automatic backup. A shop fire that destroys your paper job files is a second disaster on top of the first. CompanyCam or your CRM handles photos; use cloud storage with versioning for everything else.

9. 90-Day Launch Plan

Owner key: A = Operator A (Production) · **B** = Operator B (Sales/Admin) · **INV** = Capital Partner · **ATT** = Attorney · **CPA** = Accountant

Week 0 — Before anything else

One conversation, and it happens first.

#	Task	Owner
0.1	**Ask the investor: are the workers going on our payroll or staying on his?** Get a clear answer. → §2.5	A + B + INV
0.2	**Confirm the deal structure: equity with preferred return, or debt?** → §2.3	A + B + INV
0.3	Confirm capital amount, timing, and how it gets funded	A + B + INV
0.4	Agree who does what day-to-day, in writing	A + B
0.5	Define the service area — a 30-minute drive radius, drawn on a map	A + B

> **Do not file the LLC before 0.1 and 0.2 are answered.** Both change the operating agreement, and amending one after the fact costs more than getting it right now.

Days 1–30 — Legal, insured, and able to take a call

Week 1 — Entity & money

#	Task	Owner
1.1	Name search: Secretary of State + USPTO + `.com` + Google Business	B
1.2	**File Articles of Organization**	B
1.3	**Get the EIN** (IRS.gov, free, 10 minutes)	B
1.4	Register both DBAs (emergency brand + carpentry brand)	B
1.5	Attorney engaged for operating agreement + master contract templates	B + ATT
1.6	Open business checking + business credit card	A + B
1.7	Investor funds deposited	INV
1.8	**Call an insurance broker who specializes in contractors** — start quotes today, binding takes 1–2 weeks	A
1.9	Engage a CPA who does construction accounting	B + CPA
1.10	**Complete the §8.1 licensing checklist for your state** — call the contractor board and the building department	B

Week 2 — Compliance & insurance

#	Task	Owner
2.1	**Bind GL, Commercial Auto, Workers' Comp, Inland Marine, Umbrella**	A
2.2	Apply for state contractor license; schedule the exam if required	A
2.3	Obtain license/surety bond	B
2.4	Local business license + register with the building department	B
2.5	State tax accounts: sales/use, withholding, unemployment	B + CPA
2.6	**Register for EPA Lead-Safe RRP firm certification + book the renovator course**	A
2.7	Book **IICRC WRT** certification for at least two people	A
2.8	Operating agreement executed by all three members	A + B + INV
2.9	QuickBooks Online set up — **job costing enabled before the first invoice**	B + CPA
2.10	Payroll (Gusto/ADP) configured	B

Week 3 — Brand, phone, and systems

#	Task	Owner
3.1	Logo, brand colors, shirts, business cards, yard signs ordered	B
3.2	**Contract 24/7 answering service. Deliver the intake script from §4.1.**	B
3.3	VoIP phone system with call recording + tracking numbers per channel	B
3.4	**Claim and fully complete Google Business Profile — list 24/7 hours**	B
3.5	Website live: emergency landing page + carpentry portfolio page	B
3.6	CRM selected and configured (job stages = the 9 gates from §4.5)	B
3.7	Print all forms from `forms/`; attorney reviews Work Authorization + contract	B + ATT
3.8	Buy vehicles; order wraps	A
3.9	Open supplier accounts (lumber, hardware, specialty) — negotiate contractor pricing and net-30 terms	A
3.10	Rent shop/storage space	A

Week 4 — Equipment & crew

#	Task	Owner
4.1	Purchase tools and jobsite equipment	A
4.2	Purchase emergency equipment: extractor, dehumidifiers, air movers, generator, moisture meters, shoring	A
4.3	**Stock response vehicle #1 to the full load list** (§4.3)	A
4.4	Vehicle wraps installed	A
4.5	**Hire/onboard: 1 lead carpenter + 1 helper.** Background checks, I-9, W-4, PPE issued	A
4.6	Hire part-time office coordinator	B

#	Task	Owner
4.7	Safety manual issued; OSHA 10 scheduled for all field staff	A
4.8	Build the referral list: 2 each of electrician, plumber, HVAC, roofer — collect COIs and signed sub agreements	A
4.9	Write the employee handbook and on-call rotation policy	A + B
4.10	**Dry run: full emergency call simulation, intake → dispatch → on site → documentation**	A + B

> **Do not skip 4.10.** Find the broken links in your process on a fake call, not on a real homeowner's flooded kitchen at 2am.

End of Day 30 — you should be able to say yes to all of these: ☐ LLC formed, EIN issued, bank account funded ☐ **All insurance bound** ☐ License applied for or issued ☐ Phone answered 24/7 ☐ One stocked, wrapped response vehicle ☐ One crew hired ☐ Forms printed and signed off ☐ Google Business Profile live ☐ Books set up with job costing

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Days 31–60 — Turn the phone on and take work

Week 5 — Go live

#	Task	Owner
5.1	**Launch Google Local Services Ads + emergency-intent search ads**	B
5.2	**Take the first emergency call.** Both owners run the first 5 personally.	A + B
5.3	Announce launch: personal network, social, past clients, neighborhood groups	A + B
5.4	In-person introductions to 5 insurance agents and 3 adjusters	B
5.5	Yard signs on every job; door hangers on 10 neighbors after each job	A

Week 6 — Systems under real load

#	Task	Owner
6.1	**First weekly scorecard review.** Every Monday from now on, permanently.	A + B
6.2	**First job cost review.** Estimated vs. actual, every job.	A + B
6.3	**Audit the answering service** — listen to every recording from week 5. Fix the script.	B
6.4	Review speed: are estimates going out within 3 business days?	B
6.5	Set up Xactimate; run the first insurance-claim estimate through it	B
6.6	Request a review from every completed job	B

Week 7 — Second crew & second vehicle

#	Task	Owner
7.1	Hire lead carpenter #2	A
7.2	Purchase, upfit, wrap, and stock response vehicle #2	A

#	Task	Owner
7.3	**Formalize the on-call rotation** with stipend and backup escalation	A
7.4	IICRC WRT certification completed	A
7.5	EPA RRP renovator course completed; firm certification in hand	A
7.6	**Negotiate the $50,000 line of credit** while the balance sheet is strong	B

Week 8 — Tighten

#	Task	Owner
8.1	Review marketing by channel: cost per lead, cost per **booked job**	B
8.2	Cut what isn't converting; reallocate the budget	B
8.3	**First conversion review** — how many emergency calls produced estimates? Which techs?	A + B
8.4	Coach any tech below target on the §3.3 bridge script	A
8.5	First month-end close with the CPA; verify job costing is actually working	B + CPA
8.6	Toolbox talks running weekly and documented	A

End of Day 60: ☐ 25+ emergency calls handled ☐ 2 crews running ☐ 2 stocked vehicles ☐ First rebuild contract signed ☐ 10+ Google reviews ☐ Scorecard reviewed weekly ☐ LOC secured ☐ Certifications in hand

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Days 61–90 — Prove the model, then scale it

Week 9

#	Task	Owner
9.1	Hire helper #2; both crews at full strength	A
9.2	Office coordinator moves toward full time	B
9.3	Partner program formalized: written referral terms with plumbers, electricians, roofers, realtors	B
9.4	Meet 5 more adjusters. Bring documented examples of your claim work.	B

Week 10

#	Task	Owner
10.1	**Full process audit** — walk one job through all 9 gates. Where did it break?	A + B
10.2	Update SOPs based on what actually happened, not what was planned	A + B
10.3	Review every job's gross margin. Any job under 35% gets a written root-cause.	A + B
10.4	Recalibrate the rate card with 60 days of real cost data	B

Week 11

#	Task	Owner
11.1	Storm-season readiness: surge staffing plan, sub capacity, extra equipment secured	A
11.2	Storm-triggered direct mail campaign built and ready to fire in 72 hours	B
11.3	Instagram/GBP posting cadence established from real project photos	B
11.4	30/90-day follow-up sequences running on every unconverted estimate	B

Week 12 — Quarter review

#	Task	Owner
12.1	**Full financial review with CPA** — actual vs. the §6 model	A + B + CPA
12.2	**Investor update:** revenue, margin, conversion rate, cash position, what's working, what isn't	B + INV
12.3	Every scorecard metric vs. target; pick the two worst and fix them next quarter	A + B
12.4	Employee 90-day reviews; pay adjustments where earned	A
12.5	Q2 plan: hiring, marketing budget, capacity	A + B
12.6	Confirm insurance limits still fit actual revenue and headcount	A

End of Day 90 — targets:

Metric	Target
Emergency calls handled	60+
Live answer rate	≥ 98%
Rebuild contracts signed	5+
Revenue run rate	~$45K/month
Gross margin	≥ 40%
Google reviews	20+ at 4.7★
Crews at full strength	2
Safety incidents	0
Receivables over 60 days	$0

The five things that matter most in 90 days

Everything above is execution detail. If you get only five things right:

1. **Answer every single call, 24/7.** It is the cheapest lever in the business and worth ~$61,000/year against a $250/month cost. Nothing else comes close.
2. **Get the worker classification right before you start.** It is the only item here that can reach through the LLC and take your personal assets.

3. **Job cost every job, every week, from job number one.** You cannot fix estimating you aren't measuring, and 90 days of unmeasured jobs is 90 days of repeating the same mistake at increasing volume.
4. **Run the conversion bridge on every emergency call.** Document, follow up the next morning, meet the adjuster, present the rebuild. This is the entire thesis and it is a behavior, not a strategy.
5. **Don't spend the working capital on equipment.** You will be tempted around week 3. The model shows a cumulative deficit trough around –$38K in month 5, and cash runs worse than that. That runway is what keeps the company alive long enough to work.

Appendix: Forms & Templates

Working templates for daily operations. **Have an attorney review the Work Authorization and the subcontractor agreement before first use** — contract requirements are state-specific, and the disclosures your state mandates (right to cancel, lien notice, deposit limits) must be added. → §8.1

Form	When it's used	Non-negotiable rule
work-authorization.md	Every emergency call, on site, before touching anything	**No signature, no work.**
change-order.md	Any scope change on any project	**Signed and priced before the work happens.**
daily-job-log.md	Every project, every day	Filled out by the crew lead before leaving site.
subcontractor-agreement.md	Every subcontractor, before first job	Signed + COI + license verified first.
sub-insurance-checklist.md	Every subcontractor, annually	**No COI = no jobsite access.**
emergency-call-sheet.md	Every emergency dispatch	Carried in the truck; drives the documentation standard.

Keep printed copies in every vehicle. Tablets die, cell service fails in basements, and the one night you can't produce a Work Authorization is the night you needed it.

EMERGENCY SERVICE WORK AUTHORIZATION

`[COMPANY NAME] LLC` · License # `_____` · 24/7: `(___) ___-____`

> ⚠️ **ATTORNEY REVIEW REQUIRED BEFORE FIRST USE.** Your state likely mandates specific disclosures — right to cancel, lien rights notice, deposit limits, contractor board contact info. Add them before this form goes in a truck.

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1. PROPERTY & CUSTOMER

Customer name	_____
Service address	_____
Phone	____ **Alt:** _____
Email	_____
Customer is	☐ Owner ☐ Authorized agent ☐ Tenant *(owner authorization required)*
Owner name & phone *(if different)*	_____
Date / Time of call	__ *Arrival:* __
Job #	__ Technician(s): __

2. NATURE OF EMERGENCY

Reported problem: _____

Observed conditions: _____

Pre-existing damage not caused by us: _____

☐ Photos taken **before** any work began *(required — §4.4)* ☐ Moisture readings recorded ☐ Source of loss identified and photographed

3. AUTHORIZED SCOPE — EMERGENCY MITIGATION

Customer authorizes emergency services to stop, contain, and mitigate damage and to secure the property, including as checked:

☐ Water extraction ☐ Drying equipment placement ☐ Board-up / secure openings ☐ Roof tarp / emergency dry-in ☐ Structural shoring / stabilization ☐ Debris removal ☐ Temporary repairs ☐ Utility shut-off ☐ Selective demolition of damaged material ☐ Other: ___

This authorization covers emergency mitigation only. Any permanent repair, reconstruction, or remodeling requires a separate written contract.

4. RATES — CUSTOMER ACKNOWLEDGES BEFORE WORK BEGINS

	Standard Mon–Fri 7a–5p	After hours nights & Sat	Premium Sun & holidays
Dispatch fee *(includes first hour on site)*	$175	$275	$375
Lead technician, additional hours	$125/hr	$185/hr	$250/hr
Helper, additional hours	$75/hr	$110/hr	$150/hr
Materials	Cost + 30%	Cost + 30%	Cost + 35%

Applicable rate for this call: ☐ Standard ☐ After hours ☐ Premium

- The **dispatch fee is earned upon arrival**, whether or not further work is performed.
- Minimum **2 hours** billed on after-hours and premium calls.
- Labor billed **portal to portal** on after-hours calls, in 30-minute increments, rounded up.
- **Equipment left on site bills daily until retrieved.** Equipment rate: $__**/unit/day. Estimated pickup date:** _____
- Estimated total for authorized work: **$**_____ *(An estimate, not a fixed price. Actual conditions may require additional work, which will be discussed with the customer before proceeding.)*

5. INSURANCE

☐ Customer has filed a claim ☐ Customer has not yet filed

Carrier: ___ ***Claim #:*** ___

Adjuster name / phone: _____

Customer understands and agrees:

- **The customer is responsible for payment in full**, regardless of what the insurance carrier pays or denies. Insurance coverage is a matter between the customer and their carrier.
- We will provide documentation to support the customer's claim.
- **The customer is responsible for their deductible.** We do not and cannot waive, absorb, rebate, or discount any deductible.

Direction to Pay *(optional — where permitted by state law)*: ☐ Customer directs the insurance carrier to include `[COMPANY NAME] LLC` as payee on claim proceeds for the services performed under this authorization.

6. TERMS

1. Customer represents they own the property or are authorized to approve this work.
2. Customer authorizes access to the property to perform the services above and to retrieve equipment.
3. Payment is due upon completion unless otherwise agreed in writing.
4. Emergency mitigation is **temporary in nature** and is not a permanent repair. It does not restore the property to pre-loss condition.
5. We are not responsible for pre-existing conditions, hidden defects, or damage that occurred before our arrival.
6. We are not responsible for mold that pre-existed our arrival or that results from conditions outside our control or from delayed authorization of recommended work.
7. Balances unpaid after 30 days accrue interest at ____% per month *(check state maximum)*. Customer is responsible for reasonable collection and attorney's fees.

8. **Right to cancel:** _____ *(insert your state's requirement — commonly 3 business days)*
9. **Emergency exception to the right to cancel:** where the customer requests immediate work to prevent further damage, a separate signed waiver may be required. *(Confirm your state's rule with counsel.)*

7. SIGNATURES

Customer — *I have read this authorization, I understand the rates stated in Section 4, and I authorize the work described in Section 3.*

Signature: ____ **Print:** ____

Date: __ Time: __

`[COMPANY NAME] LLC` **representative**

Signature: ____ **Print:** ____

Date: __ Time: __

COMPLETION RECORD *(complete before leaving site)*

Work performed: _____

Materials used: _____

Labor: Tech __ **Hrs** _ · ***Tech*** ___ Hrs _____

Equipment placed on site: _____

Departure time: __

☐ After-photos taken ☐ Equipment photographed & logged ☐ Signed form photographed ☐ Site left secure ☐ Customer walked through what was done ☐ **Next-morning documentation package scheduled** *(the conversion bridge — §3.3)*

Rebuild opportunity? ☐ Yes ☐ No — Est. scope: _____

Customer receptive to estimate? ☐ Yes ☐ Not yet ☐ No — Follow-up date: _____

CHANGE ORDER

`[COMPANY NAME] LLC` · License # `_____`

> **Rule: no change order, no change.** Signed and priced **before** the work happens — every time, including "while you're here" requests. Unsigned scope changes are the single largest source of margin loss in remodeling.

Change Order # _ _ Job # __ Date _____

Customer: _____

Project address: _____

Original contract date: __ **Original amount:** $ _____

Prior approved change orders: $ _____ *(total of COs #_ **through** #_)*

REASON FOR CHANGE

☐ Customer-requested addition or upgrade ☐ **Concealed condition discovered** *(rot, water damage, structural deficiency, code violation, hidden mechanical)* ☐ Code or inspector requirement ☐ Material substitution or unavailability ☐ Design change ☐ Other: _____

DESCRIPTION OF CHANGE

What is being added: _____

What is being removed or credited: _____

Photos attached: ☐ Yes — *required for all concealed-condition change orders*

PRICING

	Amount
Additional labor — __ **hrs @ $**____/hr	$ _____
Additional materials	$ _____
Additional subcontractor	$ _____
Equipment / disposal / permit	$ _____
Subtotal — direct cost	**$** _____
Overhead & profit (_____%)	$ _____
Credit for removed work *(if any)*	**($** ____ **)**
NET CHANGE ORDER AMOUNT	**$** _____

CONTRACT SUMMARY

	Amount
Original contract	$ _____
Prior approved change orders	$ _____
This change order	**$** _____
NEW CONTRACT TOTAL	**$** _____

SCHEDULE IMPACT

☐ No change to completion date ☐ Completion date extended by _____ calendar days

New estimated completion: __

PAYMENT

☐ Due with the next scheduled draw ☐ **Due before this work begins** *(standard for change orders over $2,500)* ☐ Added to final payment ☐ Other: _____

TERMS

1. This change order is part of the original contract. **All original contract terms remain in effect**, including warranty, payment terms, and dispute resolution.
2. **Work on this change will not begin until this form is signed by the customer.**
3. Pricing is valid for **30 days** from the date above.
4. If this change reveals further concealed conditions, an additional change order will be required before that work proceeds.
5. Schedule impacts may cascade — a delay here can push subcontractor and inspection dates beyond the stated extension.

SIGNATURES

Customer — *I approve this change to the scope and price of the contract.*

Signature: ____ **Print:** ____

Date: __

`[COMPANY NAME] LLC`

Signature: ____ **Print:** ____

Date: __

Distribution: ☐ Customer copy ☐ Job file ☐ Accounting ☐ Crew lead

DAILY JOB LOG

Filled out by the crew lead before leaving the site. Every project, every day. Ten minutes. It wins disputes, it makes job costing possible, and it is the only record of what actually happened on a job.

Job # __ Project: _____

Date: __ Day # __ of _ *Crew lead:* _____

WEATHER

Temp: __ **Conditions:** ____ ☐ **Work delayed by weather — hrs lost: ____**

CREW ON SITE

Name	Arrive	Depart	Hours	Task
			Total: _____	

SUBCONTRACTORS ON SITE

Company	Trade	Crew size	Hours	Work performed

WORK COMPLETED TODAY

☐ Progress photos taken *(required)*

MATERIALS

Delivered / used	Qty	Supplier	PO / receipt #

☐ All receipts coded to this job # and submitted

EQUIPMENT ON SITE

INSPECTIONS

☐ None today ☐ Inspection: ____ **Result:** ☐ **Pass** ☐ **Fail** ☐ **Partial Inspector notes:** _____ ☐ Sign-off photographed and filed

VISITORS

☐ Homeowner ☐ Adjuster ☐ Inspector ☐ Designer ☐ Other: __ **Discussion / commitments made:** _____

> ⚠️ **Any commitment made to a homeowner that changes scope requires a change order. Write it here and tell the office today.** → change-order.md

ISSUES, DELAYS & BLOCKERS

☐ None ☐ Material delay ☐ Sub no-show ☐ Weather ☐ Inspection failed ☐ **Concealed condition discovered** ☐ Customer decision pending ☐ Equipment failure ☐ Access problem ☐ Other: __

Detail: _____

Impact on schedule: _____ days **Change order needed?** ☐ Yes ☐ No ☐ Photographed ☐ Office notified today

SAFETY

☐ Toolbox talk held — topic: ____ ☐ PPE worn by all on site ☐ Fall protection in use where required ☐ Site secured at end of day ☐ **Incident or near-miss** *(report to office TODAY — no exceptions)* Detail: _____

SITE CONDITION AT DEPARTURE

☐ Debris removed ☐ Floor protection in place ☐ Tools secured ☐ Openings secured / weather-tight ☐ Customer's space left clean ☐ Power tools unplugged ☐ Site safe for occupants, children, and pets

TOMORROW'S PLAN

Needed by morning: _____

Subs scheduled: _____

Crew lead signature: ___ ***Time:*** _

Submit to the office the same day. Photos uploaded to the job file before leaving site.

SUBCONTRACTOR COMPLIANCE CHECKLIST

> **No COI = no jobsite access. No exceptions, no "we'll get it Monday."**
>
> **Why this form exists:** at your annual workers' compensation audit, the carrier reviews every dollar you paid to subcontractors. **For any sub who cannot produce proof of their own workers' comp coverage, the carrier charges you premium as if that person were your employee** — a five-figure surprise bill arriving with no warning and no negotiation. Ten minutes of paperwork now prevents it. → §5.6

Subcontractor: _____

Trade: ___ **Date verified:** __

Contact: ___ ***Phone:*** ___

Verified by: ___

---

1. AGREEMENT

☐ Signed Master Subcontractor Agreement on file → subcontractor-agreement.md Date signed: __ ☐ W-9 on file — **required before any payment is issued** TIN/EIN: ____ ☐ Business entity verified with the Secretary of State Entity type: __ Status: ☐ Active ☐ Other: ___

2. GENERAL LIABILITY

☐ Certificate of Insurance on file Carrier: ___ *Policy #:* ___ **Effective:** __ ⚠️ **EXPIRES:** _____ **Each occurrence: $** _ ***General aggregate: $*** __ ☐ Meets our minimum of **$1,000,000 / $2,000,000** ☐ `[COMPANY NAME] LLC` **named as ADDITIONAL INSURED** — endorsement attached ☐ Waiver of subrogation in our favor ☐ Certificate lists our company as certificate holder at our address

3. WORKERS' COMPENSATION ⚠️ THE ONE THAT COSTS MONEY

☐ **Certificate of workers' compensation coverage on file** Carrier: ___ *Policy #:* ___ **Effective:** _____ ⚠️ **EXPIRES:** _____

OR ☐ Valid state exemption on file Exemption type: ____ ☐ Exemption certificate verified on the state website *(not just a photo they sent)* ☐ **Confirmed with our own carrier that this exemption is acceptable to them**

> **If neither box above is checked, this sub does not work for us.** An exemption that satisfies the state does not always satisfy your comp carrier at audit — verify with your broker, in writing, before relying on one.

4. COMMERCIAL AUTO

☐ Certificate on file Carrier: __ Policy #: __ **Effective:** __ ⚠️ **EXPIRES:** _____ **Combined single limit: $** ____ ☐ Meets our minimum of **$1,000,000**

5. LICENSING

☐ Trade license current License #: ___ *Type:* ___ **Expires:** __ ☐ **Verified on the state licensing board website — date checked:** _ ☐ ***Status active*** ☐ ***No open disciplinary actions*** ☐ ***No unresolved complaints*** ☐ ***Local business license current (where required)*** ☐ ***EPA Lead-Safe RRP certified (required if working on pre-1978 homes) Firm cert #:*** __ ***Expires:*** _**__**

6. OTHER

☐ Bonded *(where required)* — amount: $ __ ☐ **References checked — contacts:** _____**_** ☐ Safety orientation completed — date: _**_____** ☐ Signed our jobsite conduct standards *(clean site, no smoking, no music without asking, professional with homeowners)*

RENEWAL TRACKING

Document	Expires	Reminder set 30 days prior	Renewed
General Liability COI		☐	☐
Workers' Comp certificate		☐	☐
Commercial Auto COI		☐	☐
Trade license		☐	☐
RRP certification		☐	☐

> **Set calendar reminders 30 days before every expiration.** A COI that was valid in March is worthless in October, and the audit looks at the entire year — not just the day you first hired them.

APPROVAL

☐ **ALL required items above are complete and current.**

Approved by: ____**_** Date: __

☐ **NOT APPROVED** — missing: _____**_____**

Approval status must be re-verified annually and at every policy expiration.

EMERGENCY CALL SHEET

Keep printed copies in every response vehicle. Tablets die and basements have no signal. This sheet drives the intake, the dispatch, and the documentation standard.

PART 1 — INTAKE *(answering service or office coordinator)*

Call received: Date __ **Time** _ ***Taken by*** _____

⚠️ SAFETY SCREEN FIRST — if ANY of these, redirect and do not dispatch

☐ **Smell of gas** → *"Get everyone out of the house right now and call 911 and your gas utility from outside. Call us back once they've cleared it."* ☐ **Active fire or smoke → 911** ☐ **Sparking, arcing, or water contacting electrical** → *"Shut off the main breaker if you can reach it safely. If not, get out and call the power company."* ☐ **Structure actively collapsing / audible cracking** → *"Get everyone out now. Call 911."*

☐ **None of the above — safe to proceed**

CUSTOMER

Name: _____ Callback: ____

Service address: _____

Cross street / gate code / access notes: _____

☐ Homeowner ☐ Tenant *(owner authorization required — owner: ____)*

THE PROBLEM

What happened: _____

When did it start: ____

Is water still running? ☐ No ☐ **YES** → *"Do you know where your main shut-off is? Can you get to it safely? I'll stay on the line."* ☐ Water shut off ☐ Cannot reach it

Is the home secure? ☐ Yes ☐ No — opening: ____

Vulnerable occupants? ☐ Elderly ☐ Disabled ☐ Infant ☐ Medical need ☐ None *(→ escalates priority)*

Pets on site: ____

Insurance contacted? ☐ Yes ☐ No — Carrier: __ Claim #: _____

TRIAGE

☐ **P1 — dispatch now, on site < 90 min** ☐ **P2 — same day, within 4 hrs** ☐ **P3 — next business day** ☐ **REFER OUT** → ☐ Gas ☐ Main electrical ☐ Sewage ☐ Abatement ☐ 911 Referred to: ____ at _____

PRICE DISCLOSED ON THE CALL — REQUIRED

☐ Rate stated: ☐ Standard $175 ☐ After hours $275 ☐ Premium $375 ☐ Customer acknowledged the dispatch fee ☐ Customer told: *"Technician will call within 15 minutes, on site within 90."*

PART 2 — DISPATCH

	Time	Target
Call received	____	0:00
Tech paged	____	≤ 0:03
Tech acknowledged	____	≤ 0:08 *(else escalate to backup)*
Tech called homeowner	____	≤ 0:12
Rolling	____	≤ 0:15
On site	____	**≤ 1:30**

Tech assigned: ___ *Backup:* ___

☐ Escalated to backup ☐ Escalated to owner

On the homeowner call, the tech must: ☐ confirm the address and problem ☐ re-confirm the rate ☐ give an ETA ☐ coach immediate steps *(shut-off, move valuables, stay off a sagging ceiling, don't walk through standing water near outlets)*

PART 3 — ON SITE

⚠️ BEFORE TOUCHING ANYTHING

☐ **Work Authorization signed** → work-authorization.md ☐ Photo: house front with address visible ☐ Photos: wide shots of every affected room, all four corners ☐ Photos: close-ups of all damage ☐ Photo: the source of the loss ☐ Moisture readings — **photograph the meter against the surface** ☐ **Photo: pre-existing damage we did NOT cause** *(this protects us)*

SITE SAFETY CHECK

☐ Power isolated where needed ☐ Structure assessed as safe to enter ☐ Standing water assessed for electrical hazard ☐ Adequate lighting set ☐ PPE on ☐ Fall protection if above 6 ft ☐ **Two-person minimum** on structural or water emergencies after dark ☐ Generator outdoors only — **never in a garage or enclosed space**

DURING

☐ Progress photos of each mitigation step ☐ Every piece of equipment photographed in place ☐ **Any concealed condition discovered photographed** *(rot, mold, prior bad repair, missing header)* ☐ Customer told what we're doing, in plain language, before we do it

BEFORE LEAVING

☐ After-photos, same angles as the before-shots ☐ Photo of the completed tarp / board-up / shoring ☐ Photo of the signed Work Authorization ☐ Equipment logged with written pickup date: _____ ☐ Completion Record on the Work Authorization filled out ☐ Site secure ☐ Customer walked through what was done ☐ Site left clean ☐ Business card and branded folder left with the customer

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PART 4 — THE CONVERSION BRIDGE

> Solve the problem tonight. **Do not sell the rebuild while they're standing in the water.** → §3.3

☐ **The one sentence said before leaving:** *"We've got it stopped and secured. Once the adjuster's been out, we do the repair side too — I can walk you through what the rebuild looks like whenever you're ready. No rush tonight."*

Rebuild opportunity? ☐ Yes ☐ No

Estimated scope: _____

Rough value: $ __

FOLLOW-UP SEQUENCE — check off as completed

☐ **Next morning** — documentation package emailed *(photos, work performed, invoice, plain-English note on what to expect from the claim)* Sent: __ ☐ **Day 3–5 — call about the adjuster, not the job. Offer to meet them on site. Called: _ *Adjuster meeting:* _ ☐ Day 5–10 — rebuild estimate presented. Presented: __ $ _ ☐ *Day 30 — follow-up* _ ☐ Day 90** — follow-up _____

Outcome: ☐ Contract signed — $ __ ☐ **Pending** ☐ **Lost to:** _____

☐ **Review requested the morning after** *(peak gratitude)* Sent: _____

☐ **Technician conversion bonus earned** *($250 on signed contracts ≥ $5,000)*

Log every field in the CRM the same day. The scorecard — §4.7 — is built from this sheet.

MASTER SUBCONTRACTOR AGREEMENT

`[COMPANY NAME] LLC` ("Contractor") · License # `_____`

> ⚠️ **ATTORNEY REVIEW REQUIRED BEFORE FIRST USE.** This is a working outline of the terms that matter, not a finished legal document. Indemnification, insurance, and lien provisions are state-specific, and several states limit indemnity clauses in construction contracts. Have counsel produce the final template once — it will cover every sub you ever hire.

This Agreement is entered into on __ between:

Contractor: `[COMPANY NAME] LLC`, _____

Subcontractor: _____

Address: _____

Trade: ____ License #: __ EIN: __

---

1. INDEPENDENT CONTRACTOR STATUS

Subcontractor is an independent contractor, not an employee. Subcontractor:

- controls the means, methods, and details of performing the work;
- supplies their own tools, equipment, and materials except as expressly agreed;
- sets their own work hours consistent with the project schedule;
- may perform work for others;
- is solely responsible for their own taxes, insurance, and employee obligations;
- is responsible for hiring, supervising, paying, and terminating their own personnel.

> **Note for Contractor:** this clause does not make a worker independent — the actual working relationship does. If you direct their methods, set their hours, supply their tools, and they work only for you, they are an employee regardless of what this document says. → §2.5

2. SCOPE OF WORK

Work is authorized **per project** by a written Work Order specifying scope, price, schedule, and site. **No work is authorized without a signed Work Order.** Verbal authorizations are not binding on Contractor.

Work Order #: _____ *(attach to this Agreement for each project)*

3. INSURANCE — CONDITION PRECEDENT

Subcontractor shall not enter any jobsite until all of the following are on file with Contractor:

Coverage	Minimum limit
Commercial General Liability	$1,000,000 occurrence / $2,000,000 aggregate
Workers' Compensation	**Statutory** — or a valid state exemption acceptable to Contractor's carrier
Commercial Auto	$1,000,000 combined single limit
Employer's Liability	$500,000

- Contractor shall be named **additional insured** on the CGL policy, with a **waiver of subrogation** in Contractor's favor.
- Subcontractor shall provide **30 days' written notice** before cancellation or material change.
- Coverage shall be maintained continuously throughout the work and through the completed operations period.
- **Lapse of any required coverage is a material breach** and grounds for immediate termination and removal from the site.

→ Verify against sub-insurance-checklist.md before first job and at every renewal.

4. LICENSING & COMPLIANCE

Subcontractor warrants that it holds and will maintain all licenses, registrations, certifications, and permits required for the work, including **EPA Lead-Safe RRP certification** where work disturbs painted surfaces in pre-1978 structures. Subcontractor shall comply with all applicable federal, state, and local laws, building codes, and OSHA regulations.

5. PAYMENT

- Payment terms: **Net** _____ **days** from receipt of a correct invoice and satisfactory completion of the invoiced work.
- **Retainage:** _____% withheld on Work Orders over $5,000, released upon final acceptance and receipt of a final lien waiver.
- Invoices must reference the Work Order number and Contractor's job number.
- **Lien waivers required with every payment** — conditional waiver with progress payments, unconditional final waiver with final payment.
- Contractor may withhold payment for defective work, failure to provide lien waivers, lapsed insurance, or damage caused by Subcontractor, until cured.
- Payment by Contractor's customer is **not** a condition of payment to Subcontractor *(confirm your state's rule on "pay-if-paid" clauses with counsel)*.

6. SCHEDULE

Subcontractor shall perform in accordance with the schedule stated in the Work Order and shall coordinate with other trades. Subcontractor shall notify Contractor **immediately** of any anticipated delay. Subcontractor is responsible for costs caused by its own unexcused delay, including other trades' standby time.

7. QUALITY & WARRANTY

- All work shall be performed in a workmanlike manner, per code and manufacturer specifications.
- Subcontractor warrants its work against defects for **one (1) year** from substantial completion, and passes through all manufacturer warranties.
- Warranty callbacks shall be responded to within **three (3) business days**.

- Defective work shall be corrected at Subcontractor's expense. If Subcontractor fails to correct within a reasonable time, Contractor may correct it and deduct the cost.

8. CHANGES

No change in scope or price is valid without a written change order signed by Contractor. Subcontractor shall not act on scope changes requested directly by the property owner — such requests shall be referred to Contractor immediately.

9. JOBSITE CONDUCT

Subcontractor and its personnel shall: maintain a clean and safe work area, remove debris daily, wear required PPE, use fall protection above 6 feet, refrain from smoking on site, refrain from playing music without the homeowner's permission, dress and behave professionally, and protect the customer's property, landscaping, pets, and finishes.

Zero tolerance for impairment on any jobsite. Violation is grounds for immediate removal and termination.

Subcontractor shall not solicit Contractor's customers for work outside this Agreement during the term and for _____ **months** thereafter.

10. SAFETY

Subcontractor is solely responsible for the safety of its own personnel and shall comply with all OSHA standards and Contractor's site safety rules. Subcontractor shall report any incident or near-miss to Contractor **the same day**.

11. INDEMNIFICATION

To the fullest extent permitted by law, Subcontractor shall indemnify, defend, and hold harmless Contractor and the property owner from claims, damages, losses, and expenses arising out of Subcontractor's performance, **to the extent caused by the negligent acts or omissions of Subcontractor** or anyone for whose acts it is responsible.

> ⚠️ *Several states restrict or void broad indemnity clauses in construction contracts. Counsel must conform this section to your state's anti-indemnity statute.*

12. LIENS

Subcontractor shall keep the property free of liens arising from its work and shall promptly discharge any lien filed by itself or its own suppliers or subcontractors. Subcontractor shall provide lien waivers as required in Section 5.

13. TERMINATION

Contractor may terminate for convenience on _____ days' written notice, paying for work satisfactorily completed to that date. Contractor may terminate **immediately for cause**, including: lapsed insurance, lapsed license, defective work not cured, unexcused delay, safety violation, impairment, or breach of jobsite conduct.

14. CONFIDENTIALITY

Subcontractor shall not disclose Contractor's pricing, customer information, or business methods.

15. DISPUTE RESOLUTION

Disputes shall first be submitted to mediation. Unresolved disputes shall be settled by binding arbitration in ____ under ____ **rules. This Agreement is governed by the laws of the State of** _____.

16. ENTIRE AGREEMENT

This Agreement, together with each signed Work Order, constitutes the entire agreement and supersedes all prior discussions. Amendments must be in writing and signed by both parties. If any provision is held unenforceable, the remainder stays in effect.

SIGNATURES

CONTRACTOR — `[COMPANY NAME] LLC`

Signature: _____ Date: __

Print / Title: _____

SUBCONTRACTOR

Signature: _____ Date: __

Print / Title: _____

Company: _____

ATTACHMENTS REQUIRED BEFORE FIRST JOB

☐ W-9 ☐ CGL certificate w/ additional insured endorsement ☐ **Workers' comp certificate or verified exemption** ☐ Commercial auto certificate ☐ Copy of trade license *(verified on the state board site)* ☐ Completed sub-insurance-checklist.md